Hyundai Motor I (HYUNDAI)

Conference call transcripts, oldest-first. 6 call(s). Generated 2026-06-08.

Call: Nov 2024

Hyundai Motor India Ltd.
Regd. Office: Plot No. H -1, SIPCOT Industrial Park, Irrungattukottai,
Sriperumbudur Taluk, Kancheepuram District, Tamil Nadu -602117, India.
CIN (Corporate Identity Number): U29309TN1996PLC035377, T +91(44) 47100000 Corporate Office: Plot No. C11& C11A, City Centre, Urban Estate
Gurgaon II, Sector 29 Gurugram, Haryana – 122001, India
T+91(124) 6962000
www.hyundai.com/in/en

Date: 19th November , 2024
To,

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

SYMBOL: HYUNDAI SCRIP CODE: 544274

Dear Sir/Ma'am

Sub: Submission of transcript of earnings conference call pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
In continuation to our letter dated 7th November, 2024 and 11th November, 2024, Please find enclosed the transcripts o f the earnings group conference Call with Investor/Analyst conducted on 12th November , 2024, for your information and records and can be accessed at www.hyundai.com/in/en .

Kindly take the same on record .

Thanking you,

Sincerely,

For Hyundai Motor India Limited

Divya Venkat
Company Secretary and Compliance Officer
Membership No. – A33561

"Hyundai Motor India Limited Q2 FY'25 Earnings Conference Call"

November 12 , 2024

MANAGEMENT : MR. UNSOO KIM, MANAGING DIRECTOR , HYUNDAI MOTOR INDIA LIMITED

MR. TARUN GARG – CHIEF OPERATING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. SARAVANAN T. – FUNCTION HEAD (FINANCE),
HYUNDAI MOTOR INDIA LIMITED
MR. K S HARIHARAN – HEAD (INVESTOR RELATIONS),
HYUNDAI MOTOR INDIA LIMITED
MODERATOR : MR. SOUGATA BASU – HEAD (CASH EQUITIES) CITI

 Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY'25 Earnings Conference Call of Hyundai Motor India Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the conclusion of the “Presentation ” and “Management Remarks ”. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. S ougata Basu from Citi. Thank you. And over to you, sir.

Sougata Basu : Thank you, operator. Thank you. Good afternoon, good evening and good morning to everybody. We welcome you all to this Q2 FY'25 Earnings Call from Hyundai Motor India.

I am Sougata Basu. I head Cash Equities in Citi and today we are pleased to have with us Mr. Uns oo Kim – MD, Mr. Tarun Garg – Chief Operating Officer, Mr. Wang do H ur – Chief Financial Officer, Mr. Saravanan T – Function Head (Finance) and Mr. K S Hariharan – Head of Investor Relations from Hyundai Motor India Limited.

I would like to inform you that the call is being recorded and the audio call and the transcript will be available on the company's website.

I would now like to invite Mr. K S Hariharan – Head of Investor Relations from Hyundai Motor India. Over to you, sir.

K S Hariharan: Thank you, S ougata. Good evening everyone and welcome to the Q2 FY'25 Earnings Call. Before we begin, I want to remind you of the safe harbor. We may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks that the company faces.

The conference call will begin with a brief presentation by me on our second quarter results and then remarks by our MD on the performance and outlook, after which we will be happy to receive your questions.

Let me start with the “Key Business Highlights during the Quarter. ”

At Hyundai Motor India Limited, we are committed to enhancing customer experience through our diverse and versatile products. We are also committed to providing customers with exceptional mobility experiences. We remain dedicated to listening to the changi ng consumer needs while continuously evolving to exceed their expectations.

 The Bold New Hyundai ALCAZAR is a testament to this commitment. We launched the product in September '24, which has been receiving phenomenal response from the customers since the launch and we see that it has also played a pivotal role in driving up our average ASP in the domestic s egment during the quarter.

The new Hyundai CRETA continues to fulfill dreams of those seeking a contemporary and adventurous SUV, thus making India ‘Live the SUV life ’. Launched in January this year, this Undisputed , Ultimate SUV crossed the 1 lakh sales milestone in just six months since its launch, reaffirming its strong fan following in its segment. The new Creta has also won the ‘India's Best Design Projects Award ’ at ‘IBDA 2024 ’. The new Hyundai Creta was the top selling model across all segments in July '24. It was also amongst the top three selling models in H1 FY'25.

The VENUE Adventure Edition, which was launched in September, brings out the outdoorsy spirit for adventure seekers who love to explore and embrace new experiences. We also introduce d new variants in VENUE & EXTER , with electric sunroof to cater to the needs of aspirational customers.

Strengthening our commitment to innovation and providing sustainable mobility solutions , we launched the Dual Cylinder Technol

ogy in EXTER and Grand i10 NIOS providing enhanced comfort and convenience to the customers with ample boot space and great fuel efficiency.

Our popular entry -SUV model EXTER has surpassed the milestone of 1 lakh sales in India within a year of its launch. This exclusively “Made in India ” model is now being exported to South Africa, being one of the important export markets for HM IL. EXTER is Hyundai's eight h model offering in the country.
As India aims for greater adoption of electric mobility, it is equally important to bolster the EV charging infrastructure to counter range -anxiety and build customer preference towards adoption of electric mobility.
By engaging in a strategic partnership with a local charge point operator, we are moving towards strengthening HMIL 's EV charging network with 100 Hyundai dealerships now to be equipped with DC 60 kW fast chargers.
We are also proud that we have been recognized as “Top Employer 2024 ” in India by the “Top Employers Institute .” This prestigious recognition underscores our unwavering commitment to creating a better world of work through exceptional HR policies and people practices.
Now , moving on to the Sales Performance for the Quarter . HMI L recorded total sales of 1,91,939 vehicles in second quarter of current financial year , as against 2,09,777 vehicles in same period last year. The impact on volumes is mainly attributed to the domestic industry slowdown and geopolitical factors.

 Domestic sales for the quarter came in at 1,49,639 vehicles , as against 1,58,772 vehicles in Q2 of last year. The subdued demand in domestic sales is reflective of the cyclicality and seasonality in the industry. On a sequential basis, however, the domestic sales has shown an increase of 0.1%.
Exports, on the other hand, stood at 42,300 vehicles , as against 51,005 vehicles in same period last year. The impact on export volumes is mainly attributed to the Red Sea issue , impacting our exports to the Middle East region.
Despite the headwinds in the domestic market, we continue to grow stronger on premi umization through continuous growth in SUV contribution . During the quarter, we sold 1,02,636 vehicles in SUV segment , which accounted for nearly 69% of the overall volumes, once again highlighting our strength in this segment. Further, the contribution of our higher trims with aspirational features like Sunroof and ADAS continues to remain healthy.
Our sales under Hatchback segment was 29 ,668 vehicles, down 2% in terms of contribution to our total sales , reflecting the industry trend of customers moving to S UV segment.
With the sales volume of 17,335 vehicles during the quarter, the Sedan segment contributed around 12% to the total sales.
Our technology -agnostic approach allows us to adapt to evolving consumer needs and regulations effectively. Our consistent efforts have led to increasing contributions in the CNG segment, with Q2 FY'25 showing the highest contribution so far in our total sales, supported by strong customer response to our dual cylinder technology.
Let me now share the financial numbers . Our revenue from operations during the quarter stood at Rs.1,72,604 million , as against Rs.1,86,597 million in same period last year. During the quarter, our EBITDA was Rs. 22,053 million , as compared to Rs. 24,400 million in Q2 FY '24. EBITDA margin was at 12.8% as compared to 13.1% in the same quarter last year. EBIT was Rs.16,868 million in Q2 FY'25 as against Rs.18,834 million in Q2 FY '24. EBIT margin was 9.8% as against 10.1% in the same quarter last year. Despite many headwinds during the quarter , caused by domestic industry slowdown and geopolitical factors , we were still able to maintain healthy EBITDA and EBIT margins , led by our pr

emiumiz ation strategy and cost optimization activities.
PAT for the quarter stood at Rs.13,755 million , as against Rs.16,285 million in same period last year. PAT margin was 7.9% as against 8.6% in Q2 of last financial year.
Profitability during the quarter was impacted on account of the domestic industry slowdown and geopolitical challenges. However, the favorable mix we had in domestic due to premiumization focus and aggressive material cost reduction due to localization and value engineering efforts extended positive support to the profitability.

 Our material cost reduced by nearly 2.3% during the quarter as compared to the same period last year, primarily due to decrease in price of certain raw materials , coupled with our localization strategy and efforts in developing alternative vendors for raw material supplies.
Coming to the Financial Results for H1 FY '25. During the first half of the year, the company sold total of 3,83,994 vehicles , as against 3,93,180 vehicles in the same period last year. The company

registered revenue of Rs.3,46,046 million in H1 of current financial year as compared to Rs.3,52,832 million in H1 of last financial year.
With our continued focus towards operational and cost efficiencies, we were able to significantly improve our EBITDA and EBIT margins during this period. Our EBITDA during H1 FY '25 was Rs.45,456 million , as compared to Rs.44,373 million in same period last year. EBITDA margin in H1 FY '25 improved by 50 bps to 13.1% as compared to 12.6% in H1 of last year. EBIT margin on the other hand improved by 70 bps to 10.1% as compared to 9.4% in H1 of last year.
Further, despite the challenges we had in Q2, we were able to sustain our PAT margin at 8.2% in first half of this financial year, strongly supported by our premiumi zation and cost reduction initiatives.
Thank you. This concludes my presentation. And now I would like to invite our MD, Mr. Unsoo Kim for his remarks. Over to you , sir.
Unsoo Kim: Thank you, Har i. Good evening to everyone on the call and thank you for joining us today. It is my pleasure to be hosting you all on the First Earnings Call of Hyundai Motor India L imited as a listed entity.
First of all, I would like to thank all our investors for believing in our growth story and for trusting us. HMIL maintained healthy margins in the first half of the financial year , with our proactive and continuous cost control measures. During the second quarter, we had the challenges on volumes due to the domestic and the geopolitical factors , impacting our margins.
The Indian auto industry is cyclical in nature and has its ups and downs. After the phenomenal growth in the last 2-3 years due to the pent -up demand post -COVID, the current demand moderation is very natural. However, in the mid -to-long term, we are confident of a sustained demand momentum in the industry.
Despite the current slowdown in the overall sales volumes for the industry, HMIL continues to focus on quality of growth by maintaining an optimum balance between volume , market share and margins. Our SUV portfolio during the quarter accounted for a substantial 68.6% as against the industry penetration of 54.9% .

 In September, we introduced the Bold New Hyundai ALCAZAR , which redefine d the benchmark of aspirational 6 /7-seater SUV. This, along with the strong performance of CRETA , VENUE and EXTER propelled HMIL to its highest ever monthly SUV contribution of 70% in September.
As a part of our premiumization strategy, we continue to innovate and bring forth hi -tech features to excite and engage ou

r customers.
Further, the dual cylinder CNG option which we introduced in two of our models , NIOS and EXTER , is giving customers the convenience of CNG without compromising on any feature and space. We are witnessing good traction for these new variants, which has helped our overall C NG penetration increase to 13% in the second quarter of financial year 2 025.
On exports, the company witnessed growth in almost all regions in the first half of Financial Year 2025 as compared to second half of financial year 2 024, in particular , Africa, Mexico and Latin America. However, the Middle East continue d to face the headwind s due to the Red Sea crisis. We will be closely monitoring the situation and will also plan to mitigate the risk by focusing on other regions.
While the macro -economic environment is expected to remain challenging for the auto sector in the near term, we plan to focus on our strength s and don't want to lose out on any potential opportunity to improve our volumes and profitability .
In the just concluded festive month of October , we have recorded a double -digit growth in enquir ies and retail s over last festive season and witnessed good traction for our models . The strong SUV demand along with the marriage season kicking off in November , gives us confidence of a stable third quarter.
In the last quarter o f this financial year, we will be launching our Creta EV for mass market. We believe Creta EV could be a game changer in the Indian EV market.
The construction activity at our Pune plant is progressing in full swing and the plan t is expected to have start of vehicle production by third quarter of financial year 2 026. We strongly believe that the Pune plant and the localization of our EV ecosystem will further enhance our arsenal and our competitiveness in the market.
Our business fundamentals remain strong, supported by a clear strategy to drive growth and create long-term value. We are confident in our future growth trajectory , driven by our competent team and continue d commitment to excellen ce.

 Also, in order to enhance the shareholder value, we will be coming out with an appropriate dividend payout policy by benchmarking with industry -best practices , at the earliest possible. Thank you for listening.

Moderator: We will now begin the question -and-answer session. Please note that management might use English - Korean translation for better communication. Hence there could be a slight delay in the responses. Please note the management line will be on mute mode till then. We will take our first question from the line of S ougata Basu from Citigroup. Please go ahead.

Sougata Basu: Well, Mr. Kim, you spoke about double -digit festive season growth in October which is extremely encouraging to hear. What I think investors would also like to hear is some trends around pricing , around inventory , as we have heard a lot of your peers throughout this quarter. So , if you could throw some light on how you saw trends from your side as well ?

Tarun Garg: Thank you , Sougata for your question . Tarun, this side. So, as we had mentioned earlier and Mr. Kim also mentioned , our strategy on premiumiz ation continued even in this tough macroeconomic environment and I'll support it by giving you some data points. So, sunroof penetration in first half of last year '23-24 was 47.4%. It has moved to 53% in this half of this financial year'24-25. The automatics have moved up from 23.2% to 25.3%. The ADAS has moved up from 3.3% to 14.4% . In terms of CNG, we introduced Dual Cylinder CNG and let me share with you some numbers. For example, in Exter , in Q1, CNG penetration was 18% , in Q2, i t moved up to 22.2% , in fact, in October it moved up to 28.4% . So, you can see how the du

al cylinder CNG has really helped us to improve the CNG penetration and obviously taken the ASP up as well . Even in NIOS in Q1, CNG was 17.2 %, moved up to 18.6 % in Q2 and moved up to 20.2 % in Oc tober. So, very clearly , the premium ization strategy is working. #3, if you see SUV ization , in fact, in September , we reached a high of 70%, last year, our SUV was 60% , this year, Q2 FY'25 , we are at 68.6% . So, very clearly the SUVization is also improving , and with the Alcazar facelift, which we had last month, and the Creta EV going up in January, again, the SUV ization , we feel there is still more headroom towards SUVi zation. In addition to that, we also introduce d new variants, for example, new sunroof variants in the Venue, we introduced a Knight E dition in the Creta, we have now introduced in the Verna , a Spoiler Edition . So, what we are doing is , we are adding more and more value to the customer so that this effort towards ASP increase continues . Also to manage , if you would have seen like the competition where there was a lot of price war happening , we were able to not join that price war and really keep our prices intact even in H1 of this year including the Q2 of the financial year '2 4-25. So, we believe this strategy has worked for us and we intend to continue on th e strategy of premiumiz ation, on th e strategy of SUV ization , on the strategy of new variant ization , and, of course , cost optimization as well.

Moderator: We will take our next question from the line of Kapil Singh from Nomura. Please go ahead.

 Kapil Singh: Firstly, just wanted your view on the demand conditions and the industry growth outlook and how Hyundai is place d to grow in context of the market both in domestic as well as exports ? I read some comments that company is committing to making India the export hub . So, if you could elaborate on that as well please ?

Unsoo Kim: Yes, this is Unsoo . As we earlier announced, we are positioning HMIL as a production hub for emerging market. We are manufacturing and exporting , our cost optimize d vehicle to the emerging market. As we mentioned earlier, we have a very healthy and balanced mix of domestic and export volume which gives us not only good profit but also the natural hedge against any market fluctuation . Currently , from last year, we are seeing the domestic volume is increasing, demand is increasing , also export market is also increasing. And then we have a very suitable product line up for emerging market . Our product lineup is very suitable for emerging markets. So, to meet both the dom estic and export , last year we acquired the Pune plan t. So, after the operation of this third plan t, our capacity will reach 1.1 million units. It will cover all the domestic and export demand. So , we are very confident to meet both the market s and both the market s are also very promising . India is very promising and exciting market also . Our export market is the emerging market , in the Middle East and Africa and South Asia and Latin America we will see our export market very positively . We will meet both the demand. I hope I have answered your question. Thank you.

Tarun Garg : Kapil, just to add a little bit on the domestic demand , as Mr. Kim mentioned , and, of course , in October , we had a very strong growth in registrations close to more than 30% and which has brought the inventory down for us to less than four weeks. And of course, the Al cazar facelift , all these new variants which we have added, the Creta EV is going to come. So , we have been maintaining that this year the industry would see a low single digit growth on a very high base of last year, which of cours e came up with the growth of 8 .5% and before that 23%. So, we believe that i

t's a very good
place to be , at the same time we will not lose focus of this premiumization so that the value enhancement continues to happen, j ust in addition to what Mr. Kim said. Thank you.

Kapil Singh: Just also wanted to check on your views on the powertrain mix for Hyundai because you are now adding CNG as well and the parent company is fairly strong in hybrid and electric as well , but for India, what is the outlook ? You mentioned also that Cret a EV could be game changer . So, just your thoughts in terms of what attributes are needed for success of EVs in India , and how are we positioned to meet CAFE for past and future years?

Unsoo Kim: Yes, this is Unsoo . Thank you for your question . Earlier in our road show, we mentioned that India is in the early stage of electrification . India EV market is expected to grow strongly by 2030 , led by government ’s strong initiative and many OEMs ’ EV focus. HMI has access to the HMC s global EV and battery technology . So, we are well positioned to launch the EV ecosystem in India. We are developing EV ecosystem in India . As we earlier mentioned that we are planning to launch 4 EV model s including the Creta EV and we are also localizing EV supply chain like the battery pack, drive train and the battery cell and also we are investing in EV infrastructure as well. So, with these

 kind of government strong incentive to customer and the PL I scheme to OEMs and our localization effort and our 4 EV model s will lead the enormous volume . These kind s of things will help our profita bility also . And then in terms of the hybrid , as you mentioned that HMC has a variety of powertrain technology and not only petrol , diesel, CNG , but also EV and hybrid and plug-in hybrid and even hydrogen vehicle. Currently, HMC , our parent company is very strong in hybrid sales globally in the US market and our K orean market. So, HMIL has access to all kind of HMC powertrain technology and we are well positioned to launch a new model with these hybrid powertrain , based on the customer demand scenarios. So , currently we are monitoring the customers ’ preferences for powertrain .

Tarun Garg : Just to add a couple of things here . One is CAFE. You asked '23-24 we met CAFE , '24-25, we are on course to meet CAFE . We don't see any problem in '25-26 going forward as well . On the other powertrains , CNG , like I already mentioned a great traction has been seen. Frankly speaking, dual cylinder CNG , Exter going up from 18% in Q1 to 22% in Q2 to 28% in October is a testimony to how well it has been accepted. So , we believe that in the less than Rs.1 million segment, CNG will continue to play a very important role and that is a very critical part of our strategy. And in the SUV segment, of course, petrol and diesel , diesel continue s to be very strong and then going forward EVs , because currently we are only in the IONIQ 5 but like MD mentioned, Creta EV will be a very strong model push , because it's a very strong brand and then three more EVs coming in , will help us to really reach a good market share even in the EV segment. So , we believe that having this kind of a product mix and a powertrain mix would help us not only to meet all the regulations, but also take care of all the customers in different states, which have different pref erences towards petrol, CNG and diesel.

Moderator: We will take our next question from the line of Gunjan P from Bank of America. Please go ahead.

Gunjan P : Just a couple of follow -up sir. Tarun , with regard to your comments on premiumization, I'll be keen to know how the trend of first -time buyer in rural /urban mix stands in the portfolio and any call outs on demand difference between urban versus rural?

Tarun Garg: So, on the u

rban versus rural, very clearly , in fact in last one year, we have seen that rural demand continues to be very strong , in fact, the rural penetration has gone up to 21% for us now, it used to be around 20% last year , before that it was 18 .5%, before that it was 16 .5%, 17. So, a good monsoon this year would help it further. I believe the crop is very good. So, going forward we believe that the rural will continue to play a very important role and accordingly we are also adjusting our network strategy with a big thrust on the rural area . That is point #1 . Regarding the first -time buyers, it continues to be very strong. In April to June also , the first -time buyer penetration for us was 38% and in July to September also it was about 36.5%. So, the first -time buyer percentage is very, very strong as far as Hyundai is concerned and like we had mentioned in the road shows , this has in fact gone up from 31% in 2019 -20 to 36 %-37% now. So , we continue to attract first -time buyers, which tells us that the future growth prospects are good , because these first -time buyers specially are moving directly into the Venue and the Creta segment . For example, for Venue , even in Q2, the first -time

 buyer percentage is 40 % and in Creta it is 28% , so which is very , very good because this means that these customers are directly bypassing the Hatch and straightaway going into the Venue and the Creta segment which augu rs very well for Hyundai and it has resulted in our SUV penetration , reaching 68.6% in the Q2 FY ’25 period and 70% in fact for the month of September. So, I hope we have

answered your question.
Gunjan P: My second question is on the model cycle. How should we think about that ? Clearly, you did allude to four EVs in total in the next two, three years, but if you can share a little bit color on the ICE model cycle as well that are there any white spaces that you're looking to plug, how should we think about the evolution? I know maybe you don't share the specifics, but just the segments that you look to target with the ICE launches and what will be the intensity of launches there?
Tarun Garg: So, as you know, HMI has always been ahead of the curve in terms of launching new products, not only in terms of the model cycle, which is five to six years for us, but also in introducing new models in whatever segments we believe there is a demand. E xter was a very good example last year , Verna full model change was a very good example. This year in January , we had a Creta facelift and you know that what has happened, Creta continues to be on a double -digit growth path , Alcazar facelift has happened. So, going forward, while we have already clearly announced four EVs, including Cr eta EV, we have not given guidance on the IC E models. But what I can tell you is that wherever we are seeing opportunity and of course more so in the SUV segment as Indian market gets more and more segmented, we believe new and newer segments are emerging. So , we will continue to explore these areas. Now , with the Pune plant kicking in with the Q3 of financial year'26, the capacity will also be there. So , we believe that we can marry the new model introduction with t his new capacity so that we can do justice to the demand which these new models will create . I think at this point of time , this is the best I can do in terms of answering this question and please look out for announcements from us in terms of new models, but we will continue to pursue this path of looking for opportunities and filling them up.
Gunjan P: And just a bookkeeping , if you can share the royalty number for this quarter ?
Wangdo Hur : When it comes to our royalty, the royalty rate is around 2.6% on revenue from operations during the

quarter . Actually , our royalty is calculated as 3.5% on net sales after adjustment of cost of certain materials procured from related party . Any change in such amount will accordingly impact the effective royalty rate, but nevertheless our actual royalty amount is 2.6%.
Moderator: We will take our next question from the line of Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora: My first question is , well, the premium ization wave the team has captured very well. But if we look at first half numbers, most of our growth is only driven by Creta. Obviously, Exter has grown, but in 1Q of FY '24, we hadn't launched the model. So , is there a strategy where we are thinking about reducing our dependence on Creta , because incrementally of our domestic portfolio I think it has

 almost become 33% and in value terms it would be even higher . So, any thought process around our increasing dependence on Creta?
Tarun Garg: Yes, very good. And I think this is very important and we continue to look for opportunities to diversify our portfolio. Recently , last month, we introduced the Alcazar facelift, which has received a very, very good response and we are already now clocking 2 ,200-2,300 numbers from the 1 ,000 odd numbers which we were clocking say before the facelift . Of course, we had the Exter launch which is now adding clearly 7 ,000 to 8,000 per month . Going forward , like I said, I cannot really comment on the exact nature of the ne w models , but we fully understand the opportunity which exist. The mid SUV segment is growing very fast. There are opportunities in the other segments as well. So, we will really look at introducing new models as well as the facelift of the other models as the five to six year model cycle continues to evolve. So , we will look at all those things to see that all the models do well . And just for your reference , this year even Aura h as shown a growth , of course Exter has shown a growth , the Creta has shown a growth , last two months we have introduced so many new variants , Venue for example again touched 10,000. Please note that after a long time Venue again touched 10,000 because we introduced two sunroof variants in the Venue , then the dual cylinder CNG increased our NIOS numbers back to more than 6 ,000. So, I think we are doing a lot of innovations in the other models also so that we can continue to sustain as well as grow the numbers. So, the endeavor is of course to have a very strong Creta, at the same time other models as well.
Rishi Vora: My second question is regarding 2Q performance. So, on a sequential basis, our gross margins have declined by 70 basis points. So, what would have resulted in a decline? And if you could share first quarter and second quarter discount numbers, if you check that would be helpful ?
Tarun Garg: So, let me share the domestic discount numbers. Of course , it has to be understood in the context of what is happening in the industry , but first let me give you our numbers. In Q1, the domestic discount number was 1.5% , in Q2, the domestic discount number is 1.9%. So, when you see it in the context of the other players as well as in the context of the overall pricing strategy which are being followed, you can see that the strategy of balanced growth or quality of growth has really helped us to manage the discounts very well and that is the whole idea , not to join any kind of price war and to pursue that path. On the first part of your question, I'll request Mr. Sa ravanan to answer.
Saravanan T: Regarding the decline in profit , it is attributable to the reduction in volume , and because of the

geopolitical situation, there was some reduction in export numbers as well. However, we could manage with better cost savin

g on the material front and the better cost saving measure and the better capacity utilization, we have reduced the impact of the volume reduction and we could maintain the margin at an appropriate level.
Moderator: We will take our next question from the line of Aniket M hatre from Motilal Oswal Securities. Please go ahead.

 Anikit Mhatre : Just quickly following up from the previous participant, you mentioned that margins are down due to reduction in volumes, but you're saying even with decline in margins at a gross margin level, when net sales minus raw material , that is also decline d and that won't be because of volume . Just trying to understand what was the reason for a decline in gross margins this quarter on a sequential basis?
Saravanan T: Yes, actually because of the selling pressure on both domestic and export side , so we need to consider some kind of incentive. So , in the case of domestic, the market is sluggish. So, we have to follow what the market practices are there. To some extent , we have to support with the additional incentive and that is one reason for domestic . As far as exports , because of geopolitical situation, we need to focus on different markets by pushing our products into a different market , obviously , we need to support with an additional incentive . That has actually reduced the gross margin.
Anikit Mhatre: My second question was around your exports opportunity . You have mentioned in the presentation about Exter landing in South Africa . Could you help us understand what kind of growth outlook or what kind of a opportunity we can expect in exports in the foreseea ble future?
Tarun Garg: So, to start with about 1 ,000 per month is what we are looking at. But this is only of course South Africa . We are looking at other markets as well . It is very difficult to give exact guidance on that. And of course going forward like we do for all the other models , we look at left hand drive also, which will really open up many more markets. So , I think in line with our strategy right from the time we set foot in India , where we have focused big time on exports, I think Exter is going to be a very important tool for us in the future.
Anikit Mhatre: Just one quick follow up , like you have the Made in India Exter , would you have any other specific model in mind that you would look to export going forward specifically Made in India going to export markets ?
Tarun Garg: We are exporting almost all models . So, it's not as if Exter. Since you asked about Exter, that's why we said . Now we are exporting to 80 + countries . We are a hub for the emerging markets . Now Alcazar facelift has come in . So, the plan always is that first we start domestic and then we start export . The V erna goes very strongly in the Middle East. So, we export all the models . We have been doing it for the past 25 years and will continue to focus on this because , all these countries, Middle East, Asia, if you see Africa, Latin America, I think the preferences are very close to what the Indian customers want. So, our strategy has always been t o introduce a model, get success, get economies of scale and of course look at the export markets . And like Mr. Kim mentioned in his opening remarks also, for HMC , India is the production hub for all these emerging markets. So , I think we will continue on this path in the future as well.
Moderator: We will take our next question from the line of Ashish Jain from Macqu arie. Please go ahead.

 Ashish Jain : Sir, m y first question is on CNG. So, as of now we have three mode

l s with the CNG version available.
How do we see that sh aping up given the traction we have got especially for Exter CNG ? And secondly, earlier in the call you alluded to, if I got it right, rural being around 21% of Hyundai sales. Can you share the industry number on a like -to-like basis and apart from new stores, what are we doing to kind of increase that traction in rural, do you think pricing or our premium strategy is a bit of bottleneck for that or the acceptance is equally good in rural as well ?
Tarun Garg: So, on the CNG, yes, you're right. Now , if you see Hyundai strategy, we believe every segment customer key buying factor is very different. So , at the entry level , we are offering petrol and CNG to the customer because for that customer , price is very important , fuel efficiency is very important and we offer Exter, NIOS and Aura and it is doing very well. I already mentioned about the dual cylinder percentage , I will not repeat. B ut in Aura , where we do not have dual CNG but the CNG penetration is already 85%. So, going forward as well, we believe that in the less than Rs.1 million entry level segment, C NG would continue to be a good tool. At the same time, we don't think that CNG is a good solution for the SUVs because that customer ’s key buying factor is he does not want

to compromise on the initial torque. So , in the Creta , we have a diesel which is contributing 35% to 40%, in the Alcazar , we have diesel , then in the Tu cson, we have diesel , in the Venue , we have diesel along with the petrol. This strategy is working very well. So, this is the second part. The third part is of course on the Sedan segment where we are offering Verna , turbo as well as petrol. So, that is also doing very well. So , my point is that a single solution cannot work for a country like India where customers are very different. The other thing is even when you see geographically , different states are also behaving very differently. For example, in UP and say Maharashtra , CNG is very strong , in Delhi, in Northeast , petrol is very strong , in Punjab, in Telangana, in Andhra, in Rajasthan, diesel is very strong. So , having all these powertrain options in our portfolio helps us to target these states equally well , at the same time, it is a very good hedge that tomorrow if there is any geopolitical situation or if there is any price increase or price cut, we can quickly leverage , and change our strategy to that to a different p owertrain and utilize it. So , I believe this kind of a technology agnos ticity gives us a very good risk hedge and is very good in terms of opportunity leveraging as well. So , we intend to continue the same kind of strategy. And on the rural , in addition to the network, we are also doing a lot of mobile service vans. Like for example, we have more than 100 mobile service vans which are exclusively for the rural network . That helps the customers to get a service on the road step . At the same time, we are also doing a lot of Grameen Mahot sav, because branding is also very important to give the customer that confidence. So , we are doing that . Also, in terms of district coverage , we are continuously enhancing the district coverage. We are currently at about 84% district coverage. We were at about 70 %-75% a couple of years back . So, we intend to really continue on this path of more and more districts , more and more tahsils , more and more mobile service vans, more and more branding with the rural executives to educate them so that they can further educate the customers and the road infrastructure which the government is focusing on is really helping us in enhancing the rural sales along with the great monsoons which has happened this year which should really help the rural going forward.

 Ashish Jain: Sir, just one follow up . Like the 21% number which you said is rural for you. What will be the corresponding number for the industry?

Tarun Garg: So, actually these numbers are not shared , point #1. Point #2, every company has a different way of identifying rural . Like for example in HMI what I say rural is , my rural sales outlets, what is their sales . That is rural for me . And today out of my total network , around 40 to 45% is in form of rural sales outlet and they contribute 21% to my sales, but for some other company, it could be a different formula. So, like-to-like is very very difficult to make because there is no proper forum where there is a proper rule where this is rural and this is urban.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand over the call to Mr. Sougata Basu for closing remarks. Over to you.

Sougata Basu: Thank you, operator. Ladies and gentlemen, that was the last question for today. With this, we conclude today's conference call. Thank you the entire team of Hyundai Motor India and on behalf of them and Citi, we thank you for joining us and you may now disconnect. Thank you.

Moderator: Thank you all.

Note: Edited to correct inadvertent errors .

Call: Jan 2025

“Hyundai Motor India Limited
Q3 and 9 months FY’25 Earnings Conference Call”

January 28, 2025

MANAGEMENT : M R. UNSOO KIM – MANAGING DIRECTOR ,
HYUNDAI MOTOR INDIA LIMITED
M R. TARUN GARG – CHIEF OPERATING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
M R. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
M R. GOPALA KRISHNAN C S - CHIEF MANUFACTURING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
M R. SARAVANAN T – FUNCTION HEAD , FINANCE ,
HYUNDAI MOTOR INDIA LIMITED
M R. K S HARIHARAN – HEAD , INVESTOR RELATIONS ,
HYUNDAI MOTOR INDIA LIMITED

MODERATOR : M R. MITUL SHAH – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months FY 2024-25 earnings Conference call of Hyundai Motor India Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportuni ty for you to ask questions after the presentation and management remarks. Should you nee d assistance during this conference, please signal the operator by pressing “*” and then “0” on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mitul Shah fr om DAM Capital. Thank you, and over to you, sir.
Mitul Shah: Thank you. Good evening and we welcome you all to the Q3 and 9 months FY'25 earnings call from Hyundai Motor India Limited. I am Mitul Shah f rom DAM Capital. And today, we have with us Mr. Unsoo Kim – MD, Mr. Tarun Garg - Chief Operating Officer, Mr. Wangdo Hur - Chief Financial Officer, Mr. Gopala Krishnan C S - Chief Manufacturing Officer, Mr. Saravanan T - Function Head (Finance), and Mr. K S Hariharan - Head of Investor Relations from Hyundai Motor India Limited.
I would like to inform you that the call is being r ecorded, and the audio call and the transcript will be available on the Company's website. I would now like to invite Mr. K S Hariharan, Head of Investor Relations from Hyundai Motor India Limi ted. Over to you, sir.
K S Hariharan: Thanks, Mitul. Good evening everyone and welcome to the Q3 FY’25 earnings call. Before we begin, I want to remind you of the safe h arbor. We may be making some forward-looking statements that have to be understood in co njunction with the uncertainties and the risks that the company faces.
The conference call will begin with a brief present ation by me on our third quarter and 9 months FY’25 results and then remarks by our MD on the per formance and outlook, after which we'll be happy to receive your questions.
Let me begin with the key business highlights.
Hyundai has always been at the forefront of automot ive innovation, and we are committed to playing a pivotal role in shaping the future of ele ctric mobility in India. Our journey towards electrification is both ambitious and meticulously planned.
During this month, we launched the Creta Electric, our first locally manufactured mass EV and

it has been receiving positive response from the ma rket. Designed to combine innovative technology, all-around safety and electrifying perf ormance, Creta Electric is poised to become the go-to electric SUV for the Indian customers.

Despite the challenges faced by the industry, we ac hieved our highest-ever yearly domestic sales of 605,433 vehicles in calendar year 2024, marking the third consecutive year of this accomplishment.

Hyundai Creta, by achieving the highest ever yearly domestic sales of 186,919 vehicles, continued to strengthen HMIL's position as an SUV l eader, helping us accomplish highest-ever domestic SUV contribution of 67.6% in calendar year 2024.

Our rural penetration demonstrated robust growth, r eaching 21.2% during the quarter compared to 19.7% in the same period last year. Notably, the SUV segment showed remarkable momentum in rural as well, contributing 67.6% to the total r ural sales.

The dual cylinder CNG technology in Nios and Exter continues to elevate our CNG adoption. This advancement has been instrumental in achieving our highest-ever CNG penetration during the quarter, reaching an impressive 15% as compared to 11.9% in the same quarter last year.

We have been actively investing in EV infrastructur e to support the expected growth in demand for the elect

ric vehicles. As an ambitious initiati ve of our commitment to fostering sustainable mobility, we aim to set up nearly 600 fast public E V chargers across the country in the next 7 years.

As part of our dedicated efforts towards localizati on and introducing locally sourced innovative technologies for the customers, HMIL became the fir st auto OEM in India to introduce the Made-in-India AGM battery technology in its product s.

Moving on to the sales performance for the quarter.

We achieved total sales of 186,408 vehicles in Q3 F Y’25 as compared to 190,979 vehicles in the same period last year. Volumes during the quart er were majorly impacted by the macro and global factors.

In the domestic market, despite a challenging deman d environment, we were able to effectively sustain our volumes on a year-on-year basis. During the quarter, we sold 146,022 vehicles compared to 147,329 vehicles in the same period las t year. The strong festive demand supported our volumes, with October marking the highest-ever Vahan registrations for us.

During the quarter, we exported 40,386 vehicles, as compared to 43,650 vehicles in the same quarter last year. The volumes were mainly impacted by Red Sea and geopolitical challenges, affecting our exports to the Middle East and Latin America regions. However, we were able to minimize the impact to some extent by increasing ou r exports to other regions like Africa.

In line with the change in customer preferences, HM I is focusing on quality of growth driven by premiumization and SUVization. We keep analysing th e market to ensure timely product updates and interventions to keep our model lineup fresh and technologically advanced.

This strategy has helped us and contributed positiv ely to the volumes in the SUV segment and improved our domestic ASP on a year-on-year basis.

We registered record high SUV sales of 100,637 vehi cles accounting for nearly 69% of our domestic sales during the quarter.

Hatchback volumes dropped to 19.9%, reflecting the broader industry trend towards SUVs, while Sedans accounted for 11.1% of sales during th e quarter.

In line with our ongoing focus on CNG adoption, the dual cylinder technology helped in increasing our CNG penetration to 15% during the qu arter, reinforcing our commitment to sustainable mobility.

Let me now share the financial numbers.

For the 9 months of the current financial year, we sold total of 570,402 vehicles as compared to 584,159 vehicles in the same period last year, regi stering a revenue of ■512,526 million as against ■521,579 million in the same period last year.

Despite strong headwinds, we were able to maintain healthy EBITDA and EBIT margins during this period.

EBITDA for 9 months FY’25 was ■64,211 million as against ■66,108 million in the same period

last year. EBITDA margin was 12.5% as compared to 1 2.7% in same period last year, while EBIT margin was maintained at similar levels at 9.5 %.
PAT for the period stood at ■40,259 million as against ■43,829 million in the same period last year. PAT margin was at 7.8% in comparison to 8.2% in 9 months FY'24.
During this period, the macro impact on our operati ons was well addressed by our cost reduction initiatives and efforts, with the margins mainly im pacted due to the change in interest income due to the lower liquidity base.
Let me now share the financial numbers for the quar ter:
Our revenue from operations stood at ■166,480 million in Q3 FY'25 as against ■168,747 million in the same quarter last year. Favourable product m ix contributed to sustain revenues despite enhanced discounts during the quarter.
EBITDA for the quarter stood at ■18,755 million as compared to ■21,735 million in Q3 FY'24.
EBITDA margin was at 11.3% as compared to 12.9% in Q3 FY'24.
E

BIT was ■13,482 million in Q3 FY'25 as against ■16,397 million in Q3 FY'24. EBIT margin was 8.1% as against 9.7% in the same quarter last y ear.
PAT for the quarter was ■11,607 million as compared to ■14,252 million in the same quarter last year. The PAT margin was 6.9% as against 8.3% in Q3 of last financial year.
Our Q3 profitability was primarily impacted due to the subdued demand in domestic market and geopolitical challenges. However, with our continue d efforts on cost reduction through localization and value engineering, we were able to minimize the impact of macro challenges on our margins.

This concludes my presentation. Thank you for liste ning. And now, I would like to invite our MD, Mr. Unsoo Kim, for his remarks. Over to you, si r.
Unsoo Kim: Thank you, Hari. Good evening and a very Happy New Year. Welcome to the third quarter earnings call for the financial year 2025.
I hope many of you would have got a chance to witne ss "Creta Electric" at the Bharat Mobility Global Expo 2025. With its tagline "Electric is now CRETA", Hyundai Creta Electric is ready to push the boundaries of what an electric SUV can offer.
Creta Electric is our first localized electric SUV in India, manufactured at our Chennai plant.
With more than 1.1 million Creta customers and the trust it has, we believe no other vehicle than the Creta can pull the masses to begin their EV jou rney.
It is a perfect combination of bold SUV design, pre mium upmarket interiors, powerful performance and unparalleled safety. With the addit ion of this electric powertrain, we now have a Creta for everyone.
We firmly believe that this landmark introduction w ill open new avenues and mark a significant step towards sustainable mobility for our customers .
Coming to the calendar year 2024 performance, HMIL has managed to sustain sales momentum during the year, despite the strong headwinds faced by the industry at large.
The SUV segment remains a cornerstone of our portfo lio, contributing to the highest ever 67.6% to our domestic sales during the year. This strong performance highlights its widespread appeal, with robust penetration across urban as well as rur al markets.
Our rural penetration demonstrated robust growth, w ith SUV segment contributing 66.9% to total rural sales during the year. We remain focuse d on enhancing our rural presence by actively expanding our network to better serve these markets .
Introduction of the innovative dual cylinder CNG te chnology resonated well with the buyers, translating to the highest ever CNG contribution of 13.1% during the calendar year 2024.
Our performance in third quarter of financial year 2025 shows a remarkable resilience against the current macro environment.
With a good festive season, we achieved the third h ighest domestic sales since inception with more than 55,000 units being sold in the month of O ctober 2024.
While the demand was impacted by post-festive slowd own which resulted in increased discounts in the industry, HMIL continued its focus on the "Q uality of growth" strategy.
On exports, the Red Sea crisis in Middle East and g eopolitical instability in Latin America impacted our volumes during the quarter. To mitigat e the risk, we have increased our volumes to other regions, like Africa, supported by additio nal discounts.

Going forward, we expect stability in our export vo lumes and with our access to export
ecosystem of HMC, we will continue to explore oppor tunities in other emerging markets and
deliver exciting products.
Looking forward, we are confident about our growth trajectory and are commit

ted to drive long-
term value for our stakeholders. Building on our st rong foundation and focused strategies, we
are excited about the opportunities that lie ahead of us.
We have a positive outlook on growing EV penetratio n in India and are headed towards
electrification with a holistic approach.
The positive response our recently launched Creta E lectric has garnered from the market is a
clear reflection of the trust and confidence our cu stomers place in us. We are confident that it
will drive phenomenal success, build strong momentu m and will be a game changer in the EV
landscape.
With three more EVs planned in due time, we are rea dy to witness and contribute to India's EV
growth story in the coming years.
We are building a strong EV ecosystem in India.
Our efforts are deeply in sync with Government's ‘M ake-in-India’ drive, and our localization
strategy strives to constantly leverage India's ric h resources, skilled workforce and advanced
engineering prowess to develop world class technolo gy, domestically.
We have been actively investing in charging infrast ructure to drive the demand for electric
vehicles, by setting up public charging stations in India and are committed to expand this further.
Along with offering potential products, we will als o focus on localization to ensure cost
competitiveness. Commissioning of the HMIL and Mobi s India Limited’s battery-pack
assembly plant is a key milestone in our localizati on and EV roadmap.
Going forward, we also aim at localizing other key components like battery cells, drivetrain,
power electronics etc., in the near future.
Construction at our Pune plant is advancing rapidly , with operations set to commence by the end
of this year. With the phase 1 capacity of 170,000 units in 2025, and another 80,000 units in the
coming future, we will scale up our total capacity to an impressive 1.1 million units, reflecting
our commitment to meet growing market demands.
Aligned with these aggressive expansion plans, we a re equally focused on diversifying our
product portfolio. Along with an exciting lineup of EV and ICE models, we will also look to
explore opportunities in alternate eco-friendly pow ertrains. We have access to various HMC
global powertrain technologies like hybrids, hydrog en, flex fuel, etc., and are well placed to
adapt to any change in demand dynamics and regulato ry environment.
This comprehensive approach ensures we cater to the evolving customer preferences and lead
the way in sustainable and innovative mobility solu tions.

These efforts will position us as a key player in b oth domestic and export markets, driving
growth and innovation.
While the challenges persist in the overall market due to global factors, our business
fundamentals remain strong, and we remain confident in our ability to leverage our strengths
and actively explore potential opportunities to imp rove our volumes and profitability.
Lastly, in order to enhance the shareholder returns , we will announce amended dividend payout
policy post financial year closing. Thank you for l istening.
Moderator: Thank you very much. We will now begin the questio n-and-answer session. The first question
is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Sir, my first question is on growth outlook for pa ssenger vehicle industry for Q4 and FY'26. As
there has been lot of uncertainty recently in terms of huge difference in growth among the
players, if you can give more detail on the Q4 part icularly and what could be the FY’26 domestic
PV industry growth. And at the same time also, we w ould be happy to understand your market
share strategy as our shares have declined marginal ly in first nine months. So, what strategy will
you use to regain it?
Tarun Garg: So, if

you see nine months, the TIV has grown by 2 .2%. So, we have been maintaining this that
after those high growths of 23% and 9% which we all saw post COVID, obviously some kind
of a moderation was expected, and this is absolutel y in line with this anticipation.
Going forward, there are some positive factors as w ell. If you see two-three positive factors.

One, yesterday RBI infused liquidity. Very clearly this is a precursor to lowering of interest rate because now it is two-three years since the interes t rates have been very high. I think lowering of interest rate not only from an automobile point of view but from an overall growth point of view are very-very important. We believe that infla tion also has probably peaked out. The monsoons were all over the country, were normal to excess. And we are seeing a positive offshoot on rural. So, there are these three-four f actors. One very important factor also is that, after two-three years of very high growth, every co mpany probably was taken by surprise when this kind of a bump happened. So, suddenly people w ent into a huge negative spiral. You saw huge price cuts by some OEMs, you saw some huge dis counts. But now I think sanity is prevailing. By 1st of January, Hyundai took the lea d by increasing the price by almost close to 1%. And we can see that many other players have fol lowed. Some of the players have already announced that they were going to do on 1st of Febr uary. So, I think in terms of sentiment some kind of a positive thing is happening.

That said, although the exact forecast probably SIA M has announced that 18th of February, we will have a looking ahead conclave and there we wil l be announcing industry forecast. But it appears broadly when we talk to other players that probably low single digit in '25, considering all the positive as well as challenging factors, ap pear to be in order.

As far as Hyundai is concerned, some of the levers we are looking at, of course, is electric. As you know that today we have almost 0% market share in electric because Ioniq 5 is in the niche segment. But it has given us a very strong image in the market.

And now that Creta EV has come out with a very stro ng force, we believe that even if the industry, say from 2.5% reaches say about 3.5% to 4 % in '25 or early '26, even if we can target a 10% market share, it will give us 0.3% to 0.4% po sitive market share in the overall scheme of things, which can take care of some of the, like yo u mentioned, other competitors who have launched new models in '24. So, that effect can be negated. So, we believe we will be in line with the industry growth going forward in '25.

And then with the Pune plant coming in and our new model cycle married to the Pune plant, like MD mentioned in his opening speech, we are not only looking at launch of ICE models, we are also looking at alternate powertrain opportunity. O f course, we mentioned three more EVs after Creta EV in our prospectus as well. So, I think we can be positive about that going forward. I'll pass it on to Hari to take the answer forward.

K S Hariharan: Hi, Mitul. Hariharan this side. Just to add furthe r to what our COO, Mr. Tarun mentioned, see on the market share as such, we have our clear stra tegies which has been very positively working for us. For example, one is the premiumization. HMI is always known for the strong premiumization strategy. So, one is on the SUV fron t, as you can see from the numbers itself, our SUV penetration has been consistently growing.

And second thing is the focus on some of the mid to high end trims. Today, if you see, last year when we launched this dual cylinder technology in t wo of our models, that has strongly pushed our CNG penetration both in case of Nios and Exter, that is

one. And even there are other aspects as well, for example Sunroof, if I can give you som e numbers, it was 47% in terms of penetration in Q3 financial year '24. It has gone to 53.5% duri ng the current year same quarter. Similarly, ADAS from 3.4% has gone to 12.9%. Even automatics h ave also increased by a decent number. So, clearly these strategies are helping us in this tough market environment. And in fact, it has helped us to improve our domestic ASP by more than 2.5% during this period.

So, as our COO, Mr. Tarun mentioned, going forward, this additional capacity we'll be getting from Pune plant, I think that is something a great opportunity for us. Of course, with the model launches we have planned going forward, that is som ething we are very positive about. So, with our quality of growth strategy, we will continue to explore various opportunities available in the market. And accordingly, we can secure the growth b oth in terms of volumes as well as the profitability.

Mitul Shah: Yes sir. Just on this new Talegaon plant, as you m entioned, after it becomes operational, what would be export strategy? As domestic growth would be single digits, to make or to reach certain optimum utilization to make it profitable, our expo rt needs to be much higher. So, what would be our strategy there?

Unsoo Kim: This is Unsoo. In terms of export, HMIL is the lar gest exporter since 1998 cumulative. Also, we have a healthy and balanced mix of domestic and exp ort volume which give us not only good profits but also natural hedge against the market f luctuation and foreign exchanges. As we see the domestic market is increasing and also, we see the export market increase. So, with the expansion of our Pune plant, we will meet both the demand.

During the quarter, the geopolitical issues continu ed to impact the export volumes. The risk was mitigated to some extent by increasing volume to ot her region, like Africa. But we have a very unique product portfolio and model mix in the emerg ing market. We launched a new range of SUV like the Exter and Alcazar facelift last year. And also, HMIL has access to export ecosystem of HMC in more than 80 countries. Also, w e are the manufacturing hub for emerging markets. So, going forward, we expect sustainabilit y in the export volume in the near term with demand improvement in the mid to long-term.

Moderator: We have the next question from the line of Kapil S ingh from Nomura.

Kapil Singh: I just wanted to ask on the cost items, how are co st items looking for the future in terms of commodity costs, and as well as the fact that we ar e starting a new plant next year. So how should we think about the impact of that on margin?

Also, these staff costs for the quarter were up sig nificantly. So, if you could give some color there and you know, whether this is a sustainable l evel or how to think about that?

K S Hariharan: Hi, Kapil. So, your first question on the commodit y. See, commodity was more or less stable during this quarter. And second thing on the staff cost which you asked, there was a one-time impact which we have disclosed in the IPO prospectu s time itself. This is basically kind of reward which has been announced for all the employe es. So, that is reflected in this Q3 period. And as far as Pune is concerned. We will be starti ng this Pune facility by end of this calendar year. Of course, all the activities are progressing in a fast pace. As far as margins are concerned, as you know this is a significant capacity we'll be getting. 170,000 is the plan we are having and of course, with all the model launches we have plan ned going forward, we are very confident that, whatever is the investment we are making into the Pune plant, with our clear strategy, which we ar

e having on the product side, we can secure th e margins going forward.

Kapil Singh: Okay. Sure, sir. And just to clarify this one-time staff cost is only in 3Q, or it will come in future quarters or years also?

K S Hariharan: No, this was only in Q3. That's all. This is one-of f expenses.

Kapil Singh: Okay, understood. And sir, just on the export side, if you could give some more color, you mentioned that there has been impact of Red Sea cri sis. But when we look at some of your competitors, exports have not been impacted that mu ch. So, any comparison you can share like what is the reason that our exports are impacted an d if there is any sign of improvement in outlook or any easing of the problems that we are f acing?

Tarun Garg: So, Kapil, like we mentioned, look, it also depends on, of course one, which are the markets you are exporting. As you know that Middle East was aff ected much more. At the same time, like we mentioned earlier, that new model cycle is going to come. For example, Exter left hand drive could be a big opportunity for us going forward. So , I think, we just have to be a little bit patient. And you can see, in fact, the cycle turning already , probably from Q4 of this financial. And then going forward, we believe that the effect which we suffered probably is now being mitigated to

a large extent. And going forward, of course new mo dels will throw up more opportunities. We are looking at EVs export as well. And of course, H ari, will take it forward from here. Yes, Hari?

K S Hariharan: Yes, Kapil. So, again on the export side I think, y ou know that right from the time we started our operations in India, we've been strongly focusi ng on the export front. So of course, the current decline, whatever we are seeing, it is more to do with the geopolitical issues like the Red Sea and the issues which we are seeing in Latin Ame rica. But on the demand side, it is very much stable. We don't see any problem on that front . And on the operational side as well, we are kind of adjusting our planning and operations. So, we see more of stability coming from the export side going forward. And as our COO mentioned as well, we have launched even during last year some of the products in the overseas mark et like Creta, we have launched Alcazar, we have launched even Exter in South Africa. We have b een getting very, very positive response from the overseas market.

So, going forward also we will look for lot of opp ortunities, because today we are the production hub for emerging markets like Latin America, Middle East, Africa. But we will look for opportunities in other emerging markets as well, ev en on the EV side, we are evaluating on the export possibilities, even to start with Creta Elec tric. So, I think going forward there are a lot of

opportunities we see with the Pune plant coming in, that is something real positive thing for us.
We will be in a position to leverage the various op portunities lying ahead of us.
Kapil Singh: Thank you and best wishes.
Moderator: Thank you. We have the next question from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes, hi and thanks for the opportunity. Just contin uing on the export aspect. I think in the initial remarks there was one comment that to offset the Mi ddle East and Latin America weakness, we have increased exports into Africa and maybe that h as led to some increased discounts and ASP issues. So, broadly can you just help clarify wheth er Africa is generally a lower ASP and lower margin geography and that has, maybe, impacted our overall profitability?
K S Hariharan: Yes, Amyn, Hariharan here. See, as we mentioned, th e increased level of discount is something which we have to do because Africa is a region wher e we h

ad actually increased our volumes
more than the original plan. And of course, when we have to push for some extra volumes, we need to give some additional price support. That is one.
And second is that even from the product perspecti ve, for example, when we export some product, we need to make some adjustments also to m eet their requirement. So that is something as an additional factor which we need to take care because for example, when we export Exter as a model, we need to make some adjustments to mee t their requirements. Obviously, we need to support with some additional price incentives.
But that said again, as I mentioned, on the demand side overall for export, it is very much intact.
Going forward, we expect stability. We are looking for various opportunities on the export side to increase the volumes. Especially with the Pune c apacity, as we mentioned, I think we are very positive about it going forward on the export side as well.

Amyn Pirani: And just on the Creta Electric as an export opportu nity. Again, just want to understand, is the Creta Electric exclusively made in India or is it m ade in other geographies also?
Unsoo Kim: This is Unsoo. Creta Electric is unique for our Che nnai plant. We are basically targeting for domestic, but we are exporting to neighbouring coun try first. And then, if possible, with some emerging market infrastructure or government policy if favourable to us, we will export Creta Electric too.
Amyn Pirani: Okay. That's good to know. And just lastly if I can squeeze in one more question. On the domestic side in terms of model launches, I know yo u cannot go into specifics, but we've already seen the Creta Electric in calendar’25. Is there a broad number of launches that is ICE plus EV that we can expect for the remainder of the year? I f you can give some broad indication?
Tarun Garg: I think we need to be patient. We will, at the righ t time maybe, give this information. So, my request is that please be patient. We will be annou ncing. MD already mentioned along with the Pune plant, you will see a lot of launches. But how many in calendar '25? How many in '26? Please wait for the right time. I think we will be announcing.
Amyn Pirani: Sure. Thank you so much. I'll come back in the queu e.
Moderator: Thank you. We have the next question from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: What was the impact in staff cost in this quarter a nd how much were discounts in this quarter?
K S Hariharan: See, on a year-on-year basis, the staff cost has i ncreased by about 0.6% on the revenue. That is one. And as far as discount is concerned, there was some discount, as we have mentioned, because of the volumes we need to increase to Afric a region. So, there was some increased level of discounts on the export side and domestic side a lso there has been some increase in the discounts on a sequential basis. That is most to do in line with the industry scenario. But still our discounting was very much below the industry averag e as far as domestic is concerned.
Jinesh Gandhi: Yes. I mean 2Q was 1.9% of sales was discount. 3Q w ould be 2.5~3%, any indication?
K S Hariharan: So, as a percentage on ASP for domestic, the discou nt was 2.6%.
Jinesh Gandhi: 2.6%. Got it. And royalty would be stable Q-o-Q at 2.6%, or that had also gone up?
K S Hariharan: Royalty was almost similar to the Q2 level. During this Q3, it was 2.7% on the revenue.
Jinesh Gandhi: Got it. And lastly, any comment on Creta EV, given that it's almost 10 days since we launched, how is the response of any booking numbers which yo u can talk about?
Tarun Garg: Yes. So, Creta EV response is good. It's too early to talk about but what we feel is that broadly what we had announc

ed in the Bharat Mobility was th at we believe that 10% of the Creta
volumes could come from Creta EV. Going forward, I think we should be in line with that broad number going forward and that will help us as a lev er for our market share as well as for volume.

Jinesh Gandhi: Got it. Great. Thanks, and all the best.
Moderator: Thank you. The next question is from the line of G unjan from Bank of America. Please go ahead.
Gunjan: Yes, hi, thanks for taking my questions. I just ha d a quick follow up on prior questions. Just, firstly on Exports. Could you give us some sense on what is the geo-mix in this year fiscal 25, particularly I'm interested to know how big is Midd le East for us and again Africa, where has it gotten to? And on the exports again like you mentio ned for domestic expecting a low single digit growth for industry, market share should be stable. If I were to think of exports, do you think in fiscal '26 the growth can be better than this low s ingle digit that we're seeing in domestic or it's going to be pretty much in the same zone?
K S Hariharan: Hi, Gunjan. See, as far as the geo mix is concerned during this quarter, yes, Middle East was impacted. So, there was a drop of about nearly 10% for Middle East volumes. On the other hand, because, as we mentioned, Africa we are focused. We have seen a growth of nearly 15% in Africa as far as volumes are concerned.
Tarun Garg: He's talking about contribution. He's not talking about volume.
K S Hariharan: Yes. That is on the overall contribution.
Gunjan: Yes. How big is Middle East? Is it 15%, 20% of your overall export volumes?
K S Hariharan: The Middle East would be around roughly 37% during Q3 of this year and Africa would be close to 28%.
Gunjan: Okay. Got it. And anything on the outlook for expor ts for next fiscal? I mean I get that it can be a very big growth driver from a mid-term perspectiv e but more trying to get sense on next 12, 18 months?
Tarun Garg: Look very difficult to give an outlook but I can on ly say that things look positive. And Pune plant with the end of this year coming in, like I m entioned, along with domestic we have those opportunities in export. For example, you mentioned 12 to 18 months. Definitely, before 18 months, Exter left hand drive will be up and runnin g. That should be a big driver. We are expecting stability in other markets as well. So, v ery difficult to give whether it will be 10% or 8%. I can only say probably it appears that the wor st is behind us, and we should be able to get into a growth cycle in exports. So, we will definit ely, I mean definitely we cannot say, but we will have a growth in calendar year '25 over calend ar year '24, at least in the business plan. That is what we are aiming at.
Gunjan: Okay, no, that's good to hear and quite helpful. My second question again a little bit of bookkeeping is on the Tamil Nadu Government State i ncentive that we get. If you can just share what is the magnitude and how does it get accounted , if you can give some color on that?
K S Hariharan: So, yes, Tamil Nadu incentive for us, normally ever y financial year, more or less it starts from the Q3 onwards. So, roughly we can say, on a monthl y basis it would be roughly around ■30

crores kind of a range. So even this quarter we had , all the full 3 months impact. It has been reflected in our Q3 P&L as well.
Gunjan: So, this will be part of operating income roughly a round ■90 crores in Q3?
K S Hariharan: Yes, this is part of the other operating revenue. T hat is how we are showing in the P&L.
Gunjan: And similar should

be magnitude next quarter?
K S Hariharan: See more or less, it follows a trend basically. Obv iously, there can be some impact because of the product mix and other things. But more or less it follows a similar trend and Q3, as to be precise, the amount was ■101 crores. That was the impact reflected in the P& L.
Gunjan: Okay, got it. Thank you so much. I'll join back the queue.
Moderator: Thank you. Ladies and gentlemen. We will take that as a last question for today. I would now like to hand the conference over to Mitul Shah for closing remarks. Over to you, sir.
Mitul Shah: Thank you. Ladies and gentlemen, that was the last question for today. With this we conclude today's conference call. On behalf of Hyundai Motor India Limited, we thank you for joining us and you may now disconnect your lines.
Moderator: Thank you. Ladies and gentlemen, we now conclude th is conference. Thank you once again for joining the Hyundai Motor India Limited Conference Call. You may disconnect your lines.
Note: Edited for brevity and inadvertent errors.

“Hyundai Motor India Limited
Q4 and FY'25 Earnings Conference Call”

May 16, 2025

MANAGEMENT : M R. UNSOO KIM – MANAGING DIRECTOR ,
H YUNDAI MOTOR INDIA LIMITED
M R. TARUN GARG – CHIEF OPERATING OFFICER ,
H YUNDAI MOTOR INDIA LIMITED
M R. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
H YUNDAI MOTOR INDIA LIMITED
M R. GOPALA KRISHNAN C S – CHIEF MANUFACTURING OFFICER ,
H YUNDAI MOTOR INDIA LIMITED
M R. SARAVANAN T – FUNCTION HEAD , FINANCE
H YUNDAI MOTOR INDIA LIMITED
M R. K S HARIHARAN – HEAD , INVESTOR RELATIONS ,
H YUNDAI MOTOR INDIA LIMITED

MODERATOR : M R. RISHI VORA – KOTAK SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY'25 Earnings Conference Call of Hyundai Motor India Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to as k questions after the conclusion of the presentation and management remarks. Please note th at this conference is being recorded.

I now hand the conference over to Mr. Rishi Vora fr om Kotak Securities. Thank you, and over to you.

Rishi Vora: Thank you. Good evening, and we welcome you all to the Q4 and FY'25 Earnings Call of Hyundai Motor India Limited. Today we have with us, Mr. Unsoo Kim - Managing Director, Mr. Tarun Garg - Chief Operating Officer, Mr. Wangd o Hur - Chief Financial Officer, Mr. Gopala Krishnan C S - Chief Manufacturing Officer, Mr. Saravanan T - Function Head (Finance) and Mr. K S Hariharan - Head of Investor Relations from Hyundai Motor India Limited.

I would like to inform you that the call is being recorded, and the audio call and the transcript will be available at the company's website. I would now like to invite Mr. K S Hariharan, Head of Investor Relations from Hyundai Motor India Limi ted. Over to you, Mr. Hari.

K S Hariharan: Thank you, Rishi. Good evening everyone, and welcom e to the Q4 Financial Year’25 earnings call. Before we begin, I want to remind you of the safe harbor. We may be making some forward-looking statements that have to be understood in co njunction with the uncertainties and the risks that the company faces. The conference call will be gin with our MD remarks on the performance and outlook, followed by a brief presentation by me on our fourth quarter and annual results for the financial year’25, after which we will be happy to receive your questions.

Now, I hand over to our MD. Over to you, Sir.

Unsoo Kim: Thank you, Hari!

Good evening, and welcome to the fourth quarter and financial year 2025 earnings conference call.

In financial year 2025, Hyundai Motor India scaled new heights, achieving remarkable milestones.

During the year, the Company successfully executed India’s largest ever IPO, a historic achievement that stands as a testament to Hyundai’s legacy of excellence and its deep-rooted commitment to the Indian market, paving the way for the next chapter of HMIL’s growth story. The company remains firmly committed to delivering sustained value and long-term returns to our shareholders.

Within just 6 months of being listed, the Company s ecured inclusion in the Morgan Stanley Capital International (MSCI) Index. In the recent M SCI rejig, which took place in February 2025, HMIL was the only large cap from India to be included in this Global Index.

Further, by becoming part of the prestigious Indian capital market indices, such as NIFTY Next 50, BSE 500 and other Indices in March 2025, we hav e fortified HMIL's standing in the Indian stock exchanges, reinforcing its market presence an d credibility.

Financial Year 2025 was a challenging and transform ative year for the Indian automotive industry. The overall environment remained tough, w ith a combination of macro-economic uncertainties impacting consumer sentiment and purc hasing decisions. On top of that, we were up against a high base from the previous years, whi ch further amplified the impact.

Despite these headwinds, HMIL navigated the turbule nce with agility with our quality of growth strategy, solidifying its position further in India .

Our versatile SUV line-up grew stronger, driven by growing customer preferences and continued product enhancements. The launch of bold new Hyunda

i Alcazar and the introduction of Creta Electric – our first indigenously developed EV, fur ther strengthened our position in the segment. The fact that two out of every third vehicle sold b y us in India is an SUV, is a testament to our deep understanding of Indian customers and our comm itment to delivering innovation, style and safety.

HMIL further set industry benchmarks by surpassing the milestone of 2.5 million SUV sales and 1.5 million CRETA sales cumulatively since inceptio n (including domestic & exports).

The doubling of ADAS variant contribution and incre asing popularity of sunroof-equipped models reflects the rising aspirations of our custo mers and the success of our premiumization strategy.

During the year, HMIL marked a significant mileston e by completing 25 years of exports from India, re-affirming its position as the country's l argest exporter of passenger vehicles, cumulatively till date.

The financial year 2025 was marked by global uncert ainties, including the Red Sea crisis in the Middle East and geo-political instability in Latin America. Despite these headwinds, our agile and strategic decision-making enabled us to sustain export volumes during the year.

Turning to margins, the market conditions were unde niably tough, yet we were able to exit the financial year 2025 on a strong note, with an EBITD A of nearly 13%, clocking in another year of healthy margins. This was made possible through optimized operations, disciplined cost management and relentless focus on value creation.

The company is in a pivotal phase, backed by aggres sive strategies & robust investment plans in India over the next few years, particularly focu sing on scaling up production capacity, accelerating our presence in the EV market & streng thening local manufacturing capabilities.

The financial year 2026 will mark a significant mil estone in our growth journey, with the commencement of our third plant at Talegaon, coming in after more than 15 years since the establishment of our second plant in Chennai.

The Pune plant is being developed as a modern manuf acturing hub, incorporating advanced global practices from our parent company. Designed with flexibility at its core, the facility will be capable of producing both internal combustion en gine (ICE) and electric vehicles, enabling us to respond dynamically to market demand.

Mirroring our Chennai plant's focus on sustainabili ty, the Pune plant is also expected to integrate energy-efficient technologies, aimed at reducing ou r carbon footprint, in alignment with Hyundai's global commitment to achieve carbon neutr ality by 2045.

We are gearing up to start vehicle production in th is new facility from the third quarter of the financial year 2026.

In parallel, while our dedicated localization team continues to enhance our localization efforts at Chennai plant, we also intend to deepen our loca lized supplier network by adopting an indigenization strategy at the Pune plant, further reinforcing our 'Make in India' vision.

With the increased capacity coming in from Pune pla nt, we will have additional headroom for expansion in both domestic and export markets.

The emerging markets have significant demand potent ial and HMI serves as the manufacturing hub for those markets.
Aiming to become Hyundai’s largest export hub outsi de South Korea, we aspire to continue our growth trajectory in exports in the coming years. A ligned with our global vision of ‘Progress for Humanity’, our resolve to serve global customers wi th a wide range of smart mobility solutions will continue to grow stronger.
Exports have gained strong momentum in recent month s, and we aim to sustain this trajectory going forward. For the financial year’26, we antici pate the growth in ex

port volumes to be
around 7% - 8%, supported by robust demand for our products in the emerging markets.
The demand environment in the domestic market conti nues to be challenging, but we remain optimistic in our strong fundamentals, which enable s us to strategically pursue opportunities that can drive both growth & profitability.
While the recent rate cuts by RBI & income tax reli ef by government should support the demand sentiment, we remain cautiously optimistic on the b ackdrop of global trade & economic uncertainties.
With the growing aspirations of customers, we belie ve SUVs will continue to dominate the passenger vehicles segment and going forward, we wi ll continue to focus on increasing our SUV contribution & premiumization.
Our rural contribution has seen consistent growth, and we are continuously strengthening our rural presence in high potential locations, both fr om sales & service perspective.
We are set to accelerate our presence in the EV mar ket, building on the strong foundation laid in Financial Year 2025, with the launch of Creta El ectric. This model has received an

encouraging response from the customers, leveraging the trusted legacy and strong market presence of the Creta ICE model.
For financial year’26, our endeavor is to grow broa dly in line with the industry, driven by our strong SUVization and premiumization strategy along with focus on rural markets, among others.
While the near-term market sentiment appears subdue d, we remain confident in the underlying potential of the industry and expect a rebound in t he near future. HMI is gearing up with aggressive product strategies, coupled with capacit y expansion, while also expanding its footprints across the country.
We shall continue to march forward with focus on cu stomer delight, offering products that are future-ready, feature-rich, and engineered for Indi a.
We remain steadfast in expanding a well-balanced po rtfolio across ICE and eco-friendly technologies, to cater to diverse customer needs ac ross segments.
In addition to ongoing product interventions and up dates, we are excited to announce that we will be launching 26 products, which will include a mix of new models, full model changes & product enhancements, by the end of financial year 2030. This will comprise 20 from ICE and 6 from EV segment. Additionally, we shall be introd ucing new ecofriendly powertrains like Hybrids. These aggressive and strategic launch plan s demonstrate our strong commitment to innovation, market responsiveness & delivering sust ained value to our customers.
To conclude, we remain optimistic about the road ah ead and are confident in our ability to strengthen our position in the market. With a sharp focus on a quality-driven growth strategy, we are committed to delivering sustainable performa nce - laying a strong foundation to regain momentum and reinforce our leadership in the indust ry.
I am happy to share that the Board has recommended a dividend of ■21 per share for the financial year 2025 which translates to a payout ratio of 30% .
We are also in the process of formulating a dividen d payout policy aimed at enhancing transparency and delivering consistent value to our shareholders. We look forward to sharing the details in the near future.
Lastly, we are pleased to announce that HMI will ho st its First Investor Day in September this year, covering near- to mid-term growth strategies. Further details on the upcoming product launches and other key initiatives will be shared d uring the event.
Thank you for listening.
Now I hand over to Hari.
K S Hariharan: Thank you, Sir. Let me now begin with the key busin ess highlights. Financial year 2025 has emerged as a truly defining year for Hyundai in Ind

ia - one that reflects the strength of our vision
by underscoring our strong market positioning with strategic foresight.

We continue to witness strong traction in the SUV s egment, which now accounts for 69% of our domestic sales volumes, thereby reaffirming our dee p understanding of the evolving needs and aspirations of Indian customers across rural and ur ban markets. With the launch of Creta Electric and Alcazar facelift, HMI further reinforced its po sition in the SUV segment.

At HMI, we are committed to delivering superior cus tomer experience by introducing innovative and value-enhancing features.

The presence of 6.75 lakh connected cars on the ro ads since 2019, along with the growing adoption of ADAS at 14% and Sunroof at 53% for the financial year 2025, underscores the strength of our quality of sales strategy. Our newl y launched, Creta Electric has been receiving good customer response, particularly for its long-r ange and high-end variants, further affirming the market's preference for Hyundai's premium offer ings.

The introduction of dual-cylinder technology signif icantly enhanced our CNG penetration during the year, reaching 13% in the financial year 2025. Additionally, the launch of our first locally manufactured mass-market EV, bolstered our position towards the electrification journey.

HMI's localization efforts are deeply in sync with Government's ‘Make in-India’ drive and our localization strategy strives to constantly leverag e India's rich resources, skilled workforce, and advanced engineering prowess to develop world-class technology domestically. As part of this commitment, we have successfully localized over 1,2 00 components in the last five years to strengthen our supply chain ecosystem.

We are proud to mark 25 years of our export journe y, a significant milestone that reflects HMI's growing global presence and strategic expansion acr oss key emerging markets. HMI also continues to hold the Number 1 position as India's leading passenger vehicle exporter on a cumulative basis. Key export milestones during the year include the launch of Exter in South Africa, Creta Electric in Nepal, and recognition of Exter as the ‘Bargain of the year 2024’.

Moving on to the sales performance for the quarter .

We achieved total sales of 191,650 vehicles in Q4 f inancial year 2025, compared to 193,717 vehicles in the same period last year.

In the domestic market, we sold 153,550 vehicles co mpared to 160,317 vehicles in the same period last year. The moderation in domestic volume s was due to softness in overall demand sentiment. However, HMI focused on quality of sales strategy to navigate the challenging environment.

During the quarter, our exports grew by 14.1% to 3 8,100 vehicles, as compared to 33,400 vehicles in the same quarter last year. Our agile m arket response enabled us to realign efforts towards regions with stronger demand dynamics, cont ributing meaningfully to the overall export momentum.

 Coming to the annual sales performance, HMI achiev ed domestic sales volume of 598,666 vehicles in the financial year 2025 as compared to 614,721 vehicles in the financial year 2024.

Volumes during the year were impacted due to the hi gh base of last year and demand moderation in urban markets owing to the overall macro-economi c conditions.

On exports, we could sustain our volumes despite gl obal headwinds. HMI exported 163,386 vehicles in the financial year 2025 as compared to 163,155 vehicles in the financial year 2024.

Our continued focus on both domestic and export mar kets enabled us to sustain healthy capacity u

tilization during the year.

HMI continues to drive quality of sales strategy by enriching its portfolio with regular product interventions to offer superior customer experience . The SUVization and premiumization strategy has helped us to garner higher volumes in the SUV segment and also improved our domestic ASP.

During the quarter, we registered record-high SUV sales of 106,182 vehicles, while the annual SUV sales were recorded at 410,200 vehicles, repres enting 69% SUV contribution to the total domestic sales. Hatchback and Sedan contributed 20% and 12% respectively in financial year 2025, reflecting the broader industry shift in cust omer preference towards SUVs.

On the fuel mix, the introduction of dual cylinder technology helped us to increase our CNG contribution during the year to 13.2% as compared t o 11.5% last year. Our EV share inched up to nearly 1% in the overall fuel mix with the recen t launch of Creta Electric, thereby reiterating our commitment towards sustainable mobility.
Let me now share the quarterly financial highlights . Our revenue from operations stood at INR179,403 million in Q4 financial year 2025, as ag ainst INR176,711 million in the same quarter last year. Favorable product mix along with pricing actions contributed to the top line growth. On a sequential basis, the overall revenue grew by 7.8%. EBITDA for the quarter stood at INR25,327 million, as compared to INR25,218 mill ion in Q4 financial year 2024. EBITDA margin was at 14.1% as compared to 14.3% in Q4 fina ncial year 2024. EBITDA for the quarter improved sequentially by a significant 280 basis po ints. EBIT was INR20,023 million in Q4 financial year 2025 as against INR19,640 million in Q4 financial year 2024. EBIT margin was at 11.2% as compared to 11.1% in the same quarter l ast year. EBIT margins expanded by more than 300 basis points over the sequential quarter.
PAT for the quarter was INR16,143 million as compa red to INR16,772 million in the same quarter last year. The PAT margin was 8.9% as again st 9.3% in Q4 of the last financial year. On a sequential basis, PAT saw phenomenal growth of 39 .1%. On a year-on-year basis, the impact of macro-economic headwinds was mitigated by our co st reduction efforts and additional government incentives, enabling us to sustain margi ns in line with the same quarter last year. However, on a sequential basis, our Q4 profitabili ty witnessed sharp improvement primarily due to better operating leverage, pricing strategy, cos t optimization efforts and higher government incentives.

 Let me now share the annual financial numbers for 2024-25. HMI recorded revenue of INR691,929 million as against INR698,291 million in the same period last year, a marginal drop of 0.9%, despite challenging market conditions and multiple demand headwinds during the year. Through our proactive planning, operational effici ency and strong product mix, we could effectively navigate the challenging environment wh ile maintaining our competitive edge. EBITDA for the year was INR89,538 million as agains t INR91,326 million in financial year'24. EBIT for the year came in at INR68,485 million as a gainst INR69,247 million in financial year'24. We were able to maintain healthy EBITDA an d EBIT margins during the year at 12.9% and 9.9% respectively. PAT for the period stood at INR56,402 million against INR60,600 million last year. PAT margin was at 8.1% in compar ison to 8.5% in the financial year'24.
Moving on to the outlook for financial year 2026. As highlighted by our MD in his opening remarks, for domestic, our endeavor is to grow broa dly in line with the industry, while for exports, we are targeting 7% - 8% growth for the fi nancial year'26. We have planned for a capex of around INR7,000 crores in the

financial year'26, in line with our vision of driving sustainable mid-to long-term growth.
As you are aware, HMI consistently strives to main tain industry-leading margins. For the upcoming financial year as well, our aspiration is to maintain healthy double-digit EBITDA margins.
With the commencement of Pune plant from Q3 financ ial year'26, additional depreciation amid low-capacity utilization in the initial period, may weigh on near-term profitability. However, with our continued focus on optimized operations an d our quality of growth strategy, we remain confident of securing healthy margins going forward .
Lastly, this slide highlights our upcoming launche s. I will not go into the details, as our MD has already covered this in his opening remarks. With t his, I conclude my presentation. Thank you all for your time and attention.
Now, we open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Rishi Vora from Kot ak Securities. Please go ahead.
Rishi Vora: Congratulations team for a great set of numbers. My first question is regarding the quarter itself. On a sequential basis, excluding other operating in come, our ASPs have gone up by almost 4.4%. So, can you just give us what were the driver s of this? It was just mix or something else was also contributing to such a sharp increase on a sequential basis?
K S Hariharan: Hi Rishi, thanks for the question. Yes, our ASP has improved on a sequential basis. In fact, there are different contributing factors here. If you loo k at the domestic especially, we have done the price increase in the month of January. Plus, we ha ve also moderated our discount levels in domestic on a sequential basis.

 Apart from that, we also had a favorable product m ix. Even on the export market, the product mix was quite positive this quarter. So, all these factors have actually supported us for the improvement in ASP. In fact, our ASP has improved b y more than 5% on a sequential basis. I hope I have answered your question, Rishi.

Rishi Vora: Yes, and a second question just on the industry sid e. The hatchback segment as well as the Sedan segment for us, as well as for the industry has bee n in a consistent downtrend. So, I just wanted to get a sense from the management on what will cha nge this and when should we expect some recovery, some bounce back from these two segments?

Tarun Garg: Thank you for your question. This is a question we have been getting every year, but the segment continues to reduce. Please understand, it is not a bout only affordability. I think it is also about the clear change in the customer preference. So, wh at is happening is, if you see the micro-SUV segment, which did not exist 3 years back, suddenly that has become a very substantial part of the market. Almost 5.7% of the market was micro-SUV in 2024. In fact, it is 6.3% now. Many of these hatchback customers, in the same price ran ge, are going to the micro-SUV segment. So, I think it is more about the body type than afforda bility. That is point number one.

Point number two is, earlier the hatchback segment used to depend a lot on the first-time buyers. But now the first-time buyers are very clearly movi ng towards SUVs, which is very clear even in Hyundai's first-time buyer percentage, which con tinues to go up. In fact, it has now reached almost 40%. So, what I am trying to say is, it does not appear that there will be a bounce back in this segment.

In fact, many of the players are leaving that segme nt. Also, you talked about Sedan segment. Many of the players have left the premium Sedan seg ment. So, it appears that SUV is the way forward. I think the only thing which can chang

e is , probably EVs. Maybe some opportunities may come in the EVs, but it is too early to comment on that as well.

But in the near term, I do not see the segment boun cing back. At the same time, it is still substantial, 23% hatch and even 9%- 10% Sedan, is s till a good 30% of the market. So, I do not think we can ignore it. We still need to be present and I think Hyundai's strategy is very good that we are very strongly present there. And, of co urse, we have no intention of leaving these segments because they are really, really very good for us even going forward. I hope I have answered your question.

Rishi Vora: Yes. Thank you, Tarun.

Moderator: Thank you. We will take our next question from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team. Thanks for the opportunity. I will just go back to the gross margin question. Could you quantify what was the Jan price hike? What was the discount thing? And also, we have seen in most of the companies that when EV share goes up, m argins go down. So, was there a drag that electric vehicles rise had on margins? So, that is the first question.

K S Hariharan: Hi, Binay. Thanks for the question. So, the first o ne is on the price increase. The price increase was around 0.6%, which we did in January. And point number two is on the discount. Yes, as I mentioned earlier, discounts in the domestic especi ally, has reduced on a sequential basis. In Q3, the discount was 2.6% and in Q4, it has reduced to 2%. So, there is a reduction of 0.6% on the discount as well. And point number three is on the EV profitability. Today, if you look at Creta EV, if you exclude the launch-related marketing exp enses and the test drive discounts, we are margin positive on Creta EV. And going forward, if you look at even the penetration level currently, for the industry and for HMI as well, th e EV penetration is still at a very low level. So, whatever is the margin impact should not have a ny material impact on our total profitability. Having said that, we are working on an aggressive l ocalization strategy for the EVs especially. You already know that we have localized the battery pack assembly with Creta Electric. We are also working with a local partner to localize the b attery cells as well. So, there are a lot of opportunities for us to localize the components, es pecially on the EV side. When we do that, I think that should really support us to bring down t he cost and support for the margins going forward.

Binay Singh: That is helpful. And the second question again on EVs, I noticed that you've increased the number of electric vehicle launches from 4 earlier to 6 now. So, what's the thought behind that?

Are we seeing more opportunity in EV than we antici pated? What is driving that change?
Tarun Garg: So, just to clarify, 4 was the new models, but this six includes refreshments as well because we have said very clearly, this 26 model launches incl ude refreshments as well. So, that is what we are talking about. More details, of course, we'll b e sharing during the investor day.
Binay Singh: Great. Thanks, team.
Moderator: We'll take our next question from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Good evening, Sir. Congratulations on a strong per formance. My first question is on market share. We can see that quality of sales strategy is working quite well and your margins have been better than peers this quarter. But at the same tim e, there is some pressure on market share also that we see. So, how are you thinking about the bal ance of these? Are we going market share and margins and will there be any new nameplates th is year which can drive up your market share from where you are in quarter 4? And then on the expor

ts also, recently we have seen some pickup. So, any more detailed color if you can shar e what has happened that has caused the growth rates to pick up there?
Tarun Garg: Thank you for your question. Look, no company wants to lose market share. Even we don't want to lose market share. At the same time, I think bei ng listed brings in much more responsibility in terms of profitability and volume. You would hav e also seen the results today. You have seen the discount levels. So, obviously, we are passing through a phase where industry is under stress. SIAM has projected 1%-1.5% growth in this financial year and companies are having a strategy where price cuts and rampant discounts are there. W e have already announced a very aggressive model plan and obviously it has been married to the Pune plant capacity expansion.

So, I think what is important is how do we navigate this period. So, our challenge is that opportunity. Of course, we are one company which ha s both export leverage as well as domestic leverage. What we are doing is, one, put the accele rator up on the exports both in terms of trying to look new markets, also the existing models in th e current markets and also instead of reducing price, what we are doing is, we are introducing hig her features in the lower trims also.
I think there is a question on ASP. One reason why we have been able to increase our ASP, especially the domestic ASP, is because we have bee n able to give, say sunroofs in the lower trims, automatics in the lower trims. I think this is a very smart strategy because it prevents the need for higher discounts, it prevents the need for any price cuts, it gives more opportunity to the customer.
So, I think to answer your question, we will contin ue on this path until this new model cycle kicks in. Out of these 26 models in the next 5 year s, 8 of them will be in the immediate next 2 financial years, starting April'25. So, 8 of them w ill come. So, I think we are a few time away from this new model cycle kicking in and I think un til then we have to make sure that our core competence of brand, network, technology stays and then of course we do not lose too much of market share.
I think, this is what we are doing, maintaining qua lity of sale and a balance between domestic and export as well as between volume, market share and profit. I hope I have answered your question.
Kapil Singh: Yes, sir. Thank you so much. The second question i s on the capex plan. We have talked about INR7,000 crores. Could you give us a breakdown of w hat area this is going and is this higher than the average level that we will see over the ne xt few years because earlier we have talked about something like INR32,000 crores over 10 years . Linked to this we have also talked about some costs. So, if you could give us some indicatio n like will this drag down your margins this year or the EBIT margins or should we expect that y ou have other cost levers to offset that?
K S Hariharan: Hi Kapil, Hariharan here. Number one on the capex I NR7,000 crores which we mentioned, the major portion would go for Pune expansion, roughly around 40% we expect, followed by 25% for product-related investments. See again, this is the guidance which we are giving for the financial year'26. We will be sharing more details about the long-term capex plan in due course of time. Regarding whatever we have discussed on th e MOU, these are all some of the MOU commitments we have given to the State Governments like the Tamil Nadu and Maharashtra also. But as I mentioned, specific guidance on the long-term capex plan we will be sharing in some time. Hope I answered the question, Kapil.
Kapil Singh: Sure, and sir the cost part also if you can give s ome direction?
K S Hariharan: As w

e mentioned, we will be starting this Pune capa city from Q3 financial year'26. You can understand, with a plant of such scale, initially t he utilization level will be little low only and especially considering the overall weakness in the demand sentiment in the domestic market. So, that may have some impact on the margins.

But what we are planning to do is that, as we have indicated, we are planning with aggressive product launches in the next five years. With that strategy, we are very much confident. Apart from that, even the export also we are going to foc us on improving our volumes strongly going forward. So, these strategies, we believe, should g ive us a lot of support to maintain and secure the margins even going forward.

Moderator: Thank you. We will take our next question from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yeah. Thank you team for taking my questions. Firs t one is quick clarification. You mentioned eight of them in next two years. So, eight models i n fiscal'26 and 27. Is that understanding right?

Tarun Garg: Yes. Fiscal'26 and 27 put together, eight models.

Gunjan Prithyani: And any breakup on ICE and EV in that?

Tarun Garg: Overall, we have given, out of those 26 models by f iscal'30, 20 will be ICE and 6 will be EVs. But please wait for the investor day for more clari ty on the immediate plans.

Gunjan Prithyani: Okay. And the other clarification was on that you did speak about the operating income being higher. Can you quantify what was the government in centive in this and how should we be thinking about it on a full year? There does tend t o be a little bit of bunching up in second half, right? So, if you can just give some color how much was it in quarter four and how should we directionally think on the incentive for fiscal'26?

K S Hariharan: Hi Gunjan. If you look at our current Tamil Nadu MO U incentive, we have three different types of incentives. The first one is the tax incentive. The tax incentive is something which we have been getting for a long time. And that incentive ba sically starts coming from the third quarter or sometimes in the second quarter also. Second is the clean energy vehicle subsidy. The amount is INR25 crore, which generally comes in fourth qua rter.

And this year, we also have a new subsidy called a s capital subsidy. Since we achieved the MOU conditions, both on the investment side and manpowe r in last financial year, this particular incentive has accrued for us from financial year'25 onwards. The amount is INR75 crores.

This is the bifurcation. So, if you see sequential ly, Q3 versus Q4, the additional incentive from the Tamil Nadu MOU is around INR100 crores. So, goi ng forward obviously in the next year, every year, as I mentioned, the tax incentive will follow a separate timeline. But the CEV subsidy and the capital subsidy mostly accrue in th e last quarter.

Gunjan Prithyani: Okay, got it. That's very clear. The second questi on I had is more from the point that you made, using India as an important export market, right? I s there any rethink on what are the markets that we can still add in terms of exporting out of India? I mean Middle East and Africa you've touched upon earlier. But given the overall changes , noise around tariff, is there a rethink that we could have more markets which could get added wh ich India services from an export perspective? And I'm not thinking next 12-18 months , little bit next 3-5 years, how should we

think about the potential of export? Because 7% - 8 % is great but I do think there are more m

arkets which can get added. So, some thoughts arou nd that.

Unsoo Kim: Yes, thank you for the question. This is Unsoo. We are positioning Hyundai Motor India as an export hub for emerging market, especially Middle E ast and Africa, South Asia and Latin America. Currently, we have access to 80+ export ma rkets, where we have distributors.. And then we are very optimistic for the export market - current market and also we are exploring some advanced countries like Australia and other re gions.

And then, in terms of tariff conflict, it will not affect us. It is between the US and other countries . So, regardless of the tariff, we will improve our e xport volume. With expansion of Pune plant, we will reach 1.1 million units capacity. Last year , our export portion was 21% which we will increase to 30%. Our current model is very suitable for emerging market. So, we are very confident about the export market. Thank you.

Tarun Garg: So, basically, you mentioned about some new opportu nities. So, within Middle East also, like for example, in financial year 2025, we started Ven ue in Indonesia, we started Venue in Yemen, we restarted Bhutan, we started Exter in South Afri ca, Creta EV we started in Nepal. We are

exploring other RHD markets. Alcazar facelift to Mi ddle East and Africa.
So, you know, while primarily it is emerging marke ts, at the same time, different models in emerging markets, I think, itself gives us a lot of opportunities to grow our export volume. So, I think this is important. And on tariffs and all of course, we will continue to study, because going forward with India-UK trade agreement etcetera, ma ybe some new opportunities will come, especially with the EVs coming in from the HMI plan ts.
So, I think we are very open and we'll be discussi ng that what are the opportunities which can come to further increase the exports. And that is w hy we are saying, by 2030 the export penetration can go up and maybe reach 30%.
Moderator: We'll take our next question from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: So, my first question is on your comment, that you expect to grow broadly in line with domestic industry in this year. Given that the new plant is coming up in the second half and, we probably will have some refresh or product launch, is it a b it of conservative guidance or are you expecting some headwinds? Because ideally, we would have expe cted that you could actually outperform the market this year, after a bit of underperforman ce last year.
Tarun Garg: So, look, the year is divided into H1 and H2. Obvi ously, the new plant will come in the H2 of the financial year. I think this you have to keep i n mind. I hope this also answers the question.
Amyn Pirani: Okay. Understood. And secondly, just this clarific ation on the previous point, did I hear correctly that, by the time the full ramp up happens to 1.1 m illion, you are expecting exports to become close to 30% of volumes?
Tarun Garg: Answer is yes. We already reached 22% this year. A nd the plan is that, if there is an opportunity, I think, we're looking at reaching 30% by 2030.

Amyn Pirani: By 2030. Okay. But that would involve even more ex pansion, I'm assuming, beyond FY '30 ?
Tarun Garg: Okay. 1.1 million will happen But I think the inte nt is to really continue to increase export as a percentage of total sales.
Amyn Pirani: Understood. Okay. Thank you. I'll come back in the queue. Thank you.
Moderator: We'll take our next question from the line of Arvin d Sharma from Citi. Please go ahead.
Arvind Sharma: Hi, good evening, sir. Thank you for taking my que stion. On the Pune plant, when the commercialization starts, would there be a change i n the vendor base? I'm talking both on the perspectives of

localization as well as group compa ny? That will be the first question.
Gopala Krishnan: This is Gopalakrishnan here. We are trying to deve lop a whole lot of vendor ecosystem in Pune also. And the whole plant will be, in terms of auto mation and manufacturing practices, similar to the world-class manufacturing as per HMC global standards. And all the preparation works are going on.
Arvind Sharma: So, sir, the supply from group companies would rem ain at the current level?
Gopala Krishnan: We'll be leveraging their capability, both the Che nnai plant as well as the Pune plant.
Arvind Sharma: Thanks, sir. Second question would be just for acc ounting purpose. Was there any PLI benefit that you accrued in the fourth quarter, which is th ere in the reported top line?
K S Hariharan: Creta EV is the product we have launched recently. But since there are some minimum domestic value addition conditions to be met, which currentl y, there is some gap.
But we are continuously evaluating the localizatio n opportunities in EV segment, as we have already indicated, one is the battery pack we have already done and there are other plans on the component side for EVs to localize going forward. S o, going forward, I think, the strategy is to avail the PLI incentive. But yes, currently, we are not eligible.
Arvind Sharma: All right. Thanks, sir. That's all from my side. T hanks so much.
Moderator: Thank you. We'll take our next question from the li ne of Nitish Mangal from Jefferies. Please go ahead.
Nitish Mangal: Hi, good evening, and thanks for taking my questio n. On the Pune plant, can you share which all models are you planning to manufacture there, a nd how many of your existing models will also be made there versus just the new models?
Unsoo Kim: Thank you for your question. This is Unsoo. We will produce the SUV model. I cannot specify the model names, but we will announce those shortly . And then, in the coming years, we will add another SUV model in the Pune plant. I hope I a nswered your question.
Nitish Mangal: Okay, sure. Thanks. And secondly, I want to ask yo u about the operating cash flow. So, the EBITDA for the full year was almost flat YoY, but t he operating cash flow, there is quite a bit

of decline, and it seems there are some changes in other liabilities. Can you elaborate what happened on the other current liabilities?

K S Hariharan: So, if you see the cash flow, operating cash flow, mainly this year beginning, we had paid TDS on special dividend which we paid to HMC in last fi nancial year. The TDS was remitted in the current financial year, that is financial year'25. Plus also, there has been some increase in the MOU incentive receivables from the Tamil Nadu gover nment. So, these are all some of the major factors which have actually impacted the oper ating cash flow.

Nitish Mangal: Okay, thanks very much. And if I can ask just one last question, how long are these Tamil Nadu incentives valid for you? Thank you.

K S Hariharan: The Tamil Nadu incentive, the tax incentive under c urrent MoU, is valid till 2032. And the other subsidies, the CEV subsidy and the capital subsidy, they are valid for 20 years from the commencement date. One point I would like to add is that, all these subsidies are subject to fulfilling the MOU conditions, every year we need t o achieve some conditions. So, the incentive eligibility is subject to that.

Nitish Mangal: Okay, thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Rishi Vora for closing comments. Over t o you.

Rishi Vora: Yes, thank you everyone. And we'd like to thank the management for giving us an opportunity to host the call. With this, we conclude today's co nfe

rence call. On behalf of Hyundai Motor India Limited, we thank you for joining the call an d you may now disconnect from your lines. Thank you.

Moderator: Thank you, ladies and gentlemen. You may now discon nect your lines. Thank you.

Note: Edited for brevity and inadvertent errors.

Call: Jul 2025

“Hyundai Motor India Limited
Q1 FY'26 Earnings Conference Call”

July 30, 2025

MANAGEMENT : MR. UNSOO KIM – MANAGING DIRECTOR ,
HYUNDAI MOTOR INDIA LIMITED
MR. TARUN GARG – CHIEF OPERATING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. GOPALA KRISHNAN C S –CHIEF MANUFACTURING
OFFICER , HYUNDAI MOTOR INDIA LIMITED
MR. SARAVANAN T – FUNCTION HEAD, FINANCE ,
HYUNDAI MOTOR INDIA LIMITED
MR. K. S. HARIHARAN – HEAD, INVESTOR RELATIONS ,
HYUNDAI MOTOR INDIA LIMITED

MODERATOR : MR. ANIKET MHATRE – MOTILAL OSWAL

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY26 Earnings Conference Call of Hyundai Motor India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniket Mhatre from Motilal Oswal. Thank you , and over to you, sir.
Aniket Mhatre: Thank you, Sagar. Good evening and we welcome you all to the Q1 FY26 earnings conferenc e call of Hyundai Motor India Limited . Today, we have with us Mr. Unsoo Kim, Managing Director, Mr. Tarun Garg, Chief Operating Officer, Mr. Wangdo Hur, Chief Financial Officer, Mr. Gopalakrishnan C.S., Chief Manufacturing Officer, Mr. Saravanan T, Function Head Finance and Mr. K S Hariharan, Head of Investor Relations from Hyundai Motor India Limited.
I would like to inform you that the call is being recorded and the audio call and the transcript will be available at the company's website. I would now like to invite Mr. K S Hariharan, Head of Investor Relations from Hyundai Motor India Limited. Over to you, Mr. Hariharan.
K S Hariharan: Thank you, Aniket. Good evening everyone and welcome to the Q1 FY26 earnings call. Before we begin, I want to remind you of the Safe Harbor . We may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks that the company faces. The conference call will begin with our MD remarks on the performance and outlook , followed by earnings presentation for the quarter , after which we will be happy to receive your questions.
Now, I hand over to our MD. Over to you, sir.
Unsoo Kim: Thank you, Hari . Good evening and welcome to the First Quarter Earnings Conference Call for financial year 2026. As we enter the 30th year of our operations in India, we are filled with immense pride at a journey that began 29 years ago with a bold vision – to transform mobility

for the Indian customers by not just providing smart mobility solutions, but a future that reflects innovation, sustainability and a deep conne ction with our customers. Since our first car rollout, Hyundai has grown alongside India – becoming a trusted household brand and a strong contributor to the nation's automotive and economic development.

Over these three decades we've gone beyond manufacturing cars – we have created experiences, introduced innovations, and built relationships that have stood the test of time.

Guided by our global vision of 'Progress for Humanity ', HMIL will continue to drive product innovations and market growth, while contributing meaningfully to the society.

 Talking about the domestic sales performance during the quarter, the prolonged softness in demand continued to weigh on the overall industry sentiments, driven by persistent macro challenges and further intensified by uncertain global environment.

In these challenging times, we continue to remain agile and focus on advancing our core areas , such as enhancing brand presence, periodic product updates, expanding our footprints and consistent drive to enhance our rural presence.

It is indeed a matter of pride that Hyundai Creta has marked ten successful years of completion of enduring leadership in the mid-size segment, since its launch in 2015 – a powerful testament to the unwavering trust and confidence our customers place in the brand. Continuing with its legacy, Creta became the highest selling SUV during the quarter , fortifying its position as the "Un

disputed , Ultimate SUV ."

Our focus on enhancing the CNG adoption has led to record highest -ever CNG contribution of 16% in the quarter, supported by the dual -cylinder technology and introduction of new variants with CNG offerings.

As part of our drive to expand rural presence , we continue to unlock white spaces by expanding our network through strategic outlet additions and targeted rural marketing activities. These focused efforts have resulted in our highest -ever rural penetration of 23% this quarter.

In addition to the above initiatives, we have also strategically revisited our sales promotion schemes in response to the current market dynamics, which enabled us to stay compet itive in a challenging market environment.

While the near -term market sentiment continues to be muted, we expect a gradual recovery in industry demand, on the back of good monsoon, festive season coupled with government measures - such as interest rate cut, income tax relief and upcoming pay commis sion.

On exports, we achieved a remarkable growth of 13% in volumes during the quarter, showcasing the global appeal of our products and thereby underscoring HMI's positioning as manufacturing hub for emerging markets. Notably, our exports contribution in the overall sales mix improved to 27% during the quarter , reflecting our operational flexibility to navigate and balance the headwinds in the domestic market. We are confident to maintain a positive momentum in our export operations, in line with our growth commitments.

Coming to margins, in a highly competitive landscape, with heightened price pressures, we closed the quarter with a strong EBITDA margin of 13.3%. This resilience was driven by 'Quality of Sales ', enhanced focus on boosting exports and disciplined cost control measures.

As part of our strategic expansion plans, recently, we have commenced engine production at our Pune plant . This new facility will support both our Pune and Chennai operations, thereby enhancing efficiency and ensuring smooth scaling of production.

To conclude, we are pleased to announce that HMI will be hosting its first ever Investor Day on the 15th of October 2025 , to unveil our near -to-mid term plans. As you are aware, we already

 announced that we will be launching 26 products (including new models, full model changes & product enhancements) by the end of financial year 2030. We will be sharing more details about these new launches, powertrain diversity & other strategies during t he upcoming investor day.

Thank you for listening. Now I hand over to Hari.

K S Hariharan: Thank You Sir . Let me begin with the key business highlights. As we mark 10 glorious years of CRETA in India, we are humbled by the love, trust and loyalty our customers have shown us, and we remain committed to raising the bar, always.

Since its debut in 2015, the Hyundai CRETA has become a phenomenon. Such is its impact that

the mid -size SUV segment is now often referred to as the “CRETA segment” in the country. Despite increased competition, the Hyundai CRETA continues to lead from the front, maintaining its undisputed No.1 position in the country every completed year since its launch.
As part of our strategic expansion initiatives, we have kickstarted engine production at our new Talegaon plant, a significant milestone in our overall growth journey. Committed to the vision of ‘Make in India, Made for the World,’ our brand i10 has scaled over 3 million unit sales in India and export markets cumulatively. With over 2 million units sold in India and over 1 million units exported to global markets, brand i10 stands as a shining example of HMIL’s commitment to delivering world -class products.
At HMIL, we have consistently worked towards democratizin

g global technologies and high -
end features for a broader set of customers. We are proud to mention that the company achieved a remarkable milestone of selling over 1.1 million sunroof -equipped vehic les in India over the last five years. Going forward, we shall continue with our commitment to shape the future of mobility, by blending cutting -edge technology & innovation and future -ready product offerings.
In partnership with IIT Madras and Govt. of Tamil Nadu, we recently unveiled the design of the Hyundai HTWO Innovation Centre – a state -of-the-art Research & Development hub poised to serve as a catalyst for innovation in the field of green hydrogen techno logy and its ecosystem. This initiative demonstrates our commitment to ‘Make in India’ by empowering local innovation, nurturing talent, and supporting the development of scalable, affordable, and sustainable hydrogen solutions.
Moving onto sales performance for the quarter , We achieved total sales of 180,399 vehicles in Q1FY26, compared to 192,055 vehicles in the same period last year. In the domestic market, we sold 132,259 vehicles compared to 149,455 vehicles in the same period last year. The demand in the domestic market continued to remain weak during the quarter, amid challenging macro environment.
Exports on the other hand, grew by a strong 13% YoY to 48,140 vehicles, as compared to 42,600 vehicles in the same quarter last year. This is attributed to the strong global appeal for our products & our strategic focus towards optimizing exports amid the challenging domestic market conditions.
Talking about the volume mix during the quarter, despite challenging market conditions, our SUV contribution was quite strong at 68%, with strong traction in both urban & rural markets.

 Hatchback continued to witness decline in line with industry trend, whereas Sedan volumes
remained flattish on YoY basis.
Our fuel mix continues to evolve in alignment with consumer demand and regulatory trends. Our CNG contribution reached its highest -ever number of nearly 16% during the quarter, driven by great response to our dual cylinder technology & other product interv entions, whereas EV contribution was at 1.4% during the quarter.
Now coming to the financial highlights for the quarter. Our revenue from operations stood at ■164,129 Million in Q1FY26, as against ■173,442 Million in Q1 of the previous year. While the challenging domestic market conditions impacted the volumes & revenue, the company could maintain the margin resilience, larg ely supported by better export numbers & cost control measures. EBITDA for the quarter stood at ■21,852 Million, as compared to ■23,403 Million in Q1FY25. We could maintain strong EBITDA margins at 13.3% as compared to 13.5% in Q1FY25. EBIT stood at ■16,57 1 Million in Q1 of FY26, as against ■18,113 Million in Q1 last year. EBIT margin was at 10.1% as compared to 10.4% in the same quarter last year. PAT for the quarter was ■13,692 Million as against ■14,897 Million in Q1 of FY25. Despite the challenging mark et dynamics, we could maintain the PAT margin at 8.2% as against 8.5% in Q1 of last financial year. It is pertinent to mention that the EBITDA, EBIT and PAT margins in the Q1 are better than the FY25 margins.
We would also like to give more clarity on key factors driving the margins during the quarter. On a year -on-year basis, the margins were impacted mainly due to higher discounts, the impact was however minimized by better model mix, higher export contribution & cost reduction efforts. However, the reduction in margins on a sequential basis was largely due to tail -ended impact of government incentives & enhanced discounts in domestic market in response to overall market dynamics, wh

ereas the cost optimization efforts through localization & value
engineering continued during the quarter as well. And lastly as announced earlier, we will be hosting our first ever Investor Day on 15 th Oct, 2025 in Mumbai and we will be sharing more

details in due course.
This concludes my presentation. Thank You all for your time and attention . Now we open the floor for Q&A.
Moderator: Thank you very much. We will now begin the Q&A session. Our first question co mes from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Hi, team. Thanks for the opportunity. Our general understanding is that exports tend to be more profit able than the domestic business, b ut when I l ook at this result, where your g ross margin is one of the highest that you've had, is it fair to assume that the export gross margin is 7 00-800 basis point higher than domestic because that's the only way to sort of deconstruct and make the margin. Is that a fair assumption?
K S Hariharan: Hi, Binay. Let me give clarity on our gross margin for this quarter. If you look on a sequential basis , there are two important factors here. One is higher export mix. Apart from that, we also had material cost optimization. Basically, what we are doing is we are continuously working for

 improving our localization and other cost optimization efforts. So, that also helped us with better gross margins during this quarter.
If you look on a year -on-year basis, again, one is export mix plus the material cost optimization. Apart from these, we also had better model mix in domestic during the quarter plus the price increase which we did in January this year. So, all these things have collectively supported us with better gross margin during this period.
Binay Singh: Just to follow up on that, in your Slide 9, you've given this cost and other reductions, which is INR 549 million. Is that the material cost reduction number that you are saying that you've seen the benefit quarter over quarter? Because that's quite small. As a percentage, it's only 30 basis point or so. Is that the number when you're saying material cost optimization?
K S Hariharan: Let me give more clarity on a year -on-year basis. At a PBT level, of course, the major drag on the margins was because of the higher discounts, as we had indicated in the presentation as well. But the major part of this was offset by three important factors. One is the material cost reduction. If you look at material reduction, we had an impact of nearly 70 basis points during this quarter. We also have the price increase.
Binay Singh: Okay. Okay. No. I was focusing on quarter -to-quarter.
K S Hariharan: Even on a sequential basis, we had a significant material reduction, translating to nearly 50 basis points. So, that also supported us on the margin front.
Binay Singh: Okay. And lastly, on the export outlook, last call, we had given a 6 -7% outlook for export growth this year. Now, if I look at that guidance, it implies that exports for the remaining part of the year will grow at 2 -3%. So, are you changing your export guidance or maintaining it, or do you expect the growth to slow down very sharply for the rest of the year in exports?
K S Hariharan: See Binay, of course, we have been doing very well in exports in recent times and the Q1 number reflects that. We are seeing very good demand for our products across different geographies. Even if you look at this quarter, for example, markets like Africa, we had seen a growth of 28% , Mexico we ha d seen a growth of 14% . We expect that the momentum should continue in the near future.
But one thing we need to understand here is that there is also a seasonality factor, because normally what happens is ,

export for us, generally it is better in first half of the financial year as compared to the second half. So, considering that, we would like to keep the guidance at the similar level what we had indicated during last earning s. Having said that, we will be continuously looking for opportunities to maximize our export volumes wherever possible.
Binay Singh: Great. Great. Thanks for that, Hari. Thanks for the detailed response. I'll come back in the queue.
Moderator: Our next question comes from the line of Kapil Singh from Nomura.
Kapil Singh: Yes. Hi, sir. Thanks for the opportunity. So, first question is on the demand condition itself. We have seen a weaker demand through the last few months. If you could just give some details of

 region -wise color, rural versus urban ? Also, we have seen some improvement in mix of CNG as well as the feedback on CRETA EV seems to be good. So, electric vehicles, what kind of adoption and response you are seeing? And can we see these numbers ramp up going ahead?
Tarun Garg : Okay. A lot of questions there. Let's take one by one and then I'll give you an overall perspective.

Kapil, clearly the rural contribution continues to go up. In quarter one, we had a rural contribution of 22.6%. And for your reference, last year, same quarter, it was 19.9%. And for the last full financial year, it was 20.9%.
So, very clearly, you can see that, there is a clear shift in demand towards rural markets. And it is not a surprise because we have seen that the road infrastructure, the monsoon, the minimum support price, everything is going for rural. And of course, ur ban markets, basically, because they are affected by the general sentiment, whether it is reading about the world economy or what is happening or the uncertainty that does not affect the rural customers.
On the CNG front, again, like MD mentioned in his opening comments, this was the highest ever CNG contribution quarter for us. If I go model by model, I would like to tell you that Aura CNG contribution was 89%, EXTER CNG contribution was 30%, NIOS CNG con tribution was 18%. These three models put together, CNG contribution was 46%.
And when you compare this with quarter one of last year, it was 33%. So, from 33%, we have moved to 46%. And the moment you have in the denominator, the full base, then from 11.4%, we have moved to 15.6%. So, this CNG contribution increase, besides increas ing volumes, has also helped us to meet the CAFE norms, Kapil. Just to tell you, quarter one CAFE, our target was 117.286. Actual is 112.856. So, we have achieved CAFE very comfortably by minus 4.430.
And an addition on this has been CRETA Electric , which has received a reasonably good response. And also, it has helped CRETA, not only being the number one SUV in this quarter, but if you see this calendar year, three months out of six months, CRETA was the number one model across segments. So, I think it is really enhancing the brand CRETA. And of course, as we know, we are celebrating 10 years of CRETA.
Overall demand scene so far looks sluggish. In fact, June was the lowest TIV in the last 30 months if you leave aside December. So, this was not very good. But at the same time, we are now entering the festival. So, we have every reason to believe that the worst is behind us.
We will start with the Kerala Onam, the Ganesh, Janmashtami, Rakhi, Independence Day, and then of course, the Navratri start. Just to tell you, this year, Navratr i is in September and Diwali is in October. Whereas last year, both Navrat ri and Diwali were in October. So, what will happen is this year, both quarter two as well as quarter three, the festival effect will be there.
Also, interest rates, although 100 basis point interest rate has been cut by RBI this yea

r, I believe
the effect to the customer is still being passed . If you remember Kapil, it was in 2008, when the last time 100 basis point interest rate had been cut. So, this is a very significant cut. Today's newspaper says that may be there will be another cut happening with the baseline inflation really at a very low level.

 Also, income tax savings generally people do in the second half. We have the 8th pay
commission coming in. 44% of our sales comes from salaried employees, out of which 16% are government employees. So, I think there are some positive offshoots. At the same time, underlying, there is definitely a weakness in the market so far. I hope I've answered all your questions. In case there's a follow -up, I'll be happy to take.
Kapil Singh: Thanks for the detailed answers. Another question, was on material cost reduction. Could you give some color? What are the areas in which you are reducing this cost? What are the potential areas where you can reduce cost? And if , any potential number you've identified, like how much is possible to reduce over next, let's say 1 or 2 years?
K S Hariharan: Kapil, if you look on the material side, first of all, last quarter, the commodity for us was more or less stable. Apart from that , there are two things here. One is , we are continuously improving our localization level. If you look at the number, a year back in financial year '24, the localization level was somewhere around 78%. Within a matter of a year, we have significantly improved this number to nearly 82% now. So, clearly, we are reaping the benefits of our localization efforts in the current period. Apart from that, at the plant level, we also do some value engineering activities. We try to identify some scope of cost reduction. So, these things have also supported us in keeping the material cost under check.
Going forward, though we cannot give any specific target number, we still see a lot of opportunities to improve the localization. For example, even for the EVs, you already know that we've localized battery assembly pack, and we are also working for improving the localization in other EV components as well. So, these things, should definitely help us even going forward to have control over the material cost.
Kapil Singh: Thank you, sir. And congratulations on a strong performance and also beating the CAFE numbers by a good margin. Thank you.
Moderator: Our next question comes from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Yeah, thanks a lot for the opportunity. My first question is on the comments you made on the rural demand trends and rural trade going up is positive for you. But just want to understand, because even with rural trade going higher, we see that SUVs continu e to be seeing a pretty good traction for you. It's not slipping.
So, just wanted to understand, what are you discovering as you're going more into the rural network in terms of consumers' purchase behavior? Historically, rural is kind of, what do you say, bracketed along with small cars, hatches, and not SUVs and more p remium products. But looking at your ASPs and the kind of SUV category mix, what is shown doesn't seem to be affecting you as you're increasing your exposure to rural.
So, if you can just help us understand, and Tarun , especially from your v intage point, you've been in the industry for long enough, from your earlier days to now, what is the kind of evolution you see in the rural demand? And what does it also kind of mean for, as we look ahead, post - monsoon demand revival or festivities, and also the pay commission coming in?

 Will there be a difference in the buying pattern this time compared to the last pay commission? I'm sorry for the long question, but I hope I kind of made my questions pretty clear.
Tarun Garg: No, the question is long and answer will be short. Very, very clearly, to answer your question, rural SUV penetration today stands at 68.8% for me. So, very clearly, I think the key buying factor for rural has changed. You asked me that, yes, I have spent 32 years. I never expected that rural will come out of small cars.
But that said, if you see 2015, frankly speaking, SUVs used to contribute 13% to the overall sale. In fact, before 201 4, it was 9%. So, actually, there's a paradigm shift across and rural has really caught up very, very fast. And today, rural customers have also become aspirational. I think one key reason for that is that the road infrastructure has improved tremendously.
Earlier, if you see rural customers were very hesitant to buy a premium car because they were not very sure about the reliability, because the road infrastructure was bad. The second thing is the service. If you see Hyundai, our service network and for that matter, the entire industry, if you see, very very strong in service network.
So, today, one is fixed network. We have 586 service network in the rural areas . Plus, we have rural service vans, 110 exclusive mobile service vans, which are serving the customers in the rural areas. So, that is also giving the customers the confidence.
I think the third is, if you see, while the urban economy or urban sentiment is affected by the general, what is happening on tariffs, what is happening to the world economy, what is happening to the Russia -Ukraine war, what is happening to general stuff, rare earth matter , but rural is very simple. Rural is monsoon, MSP you know, and I think very clearly if you see over the past three, four years, monsoon has been not only more than normal, but also not very very skewed in favor of only particular regions . It has been very well spread across the country. Even this year, it has started on a very positive note. So, I think all this while, what is happening is aspiration is taking over functionality, and Hyundai is clearly reaping benefits.
It is also reflected in terms of future because you asked a question about future. So, what we are doing now is the further network, I think, although currently 47% of my network is rural and 53% is urban, but if you ask me, seven out of 10 outlets, now I am making , are in the rural areas. So, I have expedited the network in rural areas, considering what kind of demand I am seeing there, and considering especially the affinity to SUVs, which directly helps me. I hope I answered your questions. In case there's a follow up, I'll be happy to take.
Pramod Kumar: Yes, Tarun sir, around the pay commission. What does it imply for pay commission? As we get the windfall, there will be a repeat of last pay commission when it was more dominated by small cars. So, how do you see that, linking the kind of changing consumer preferences?
Tarun Garg: If you see, 16% of my sales is through government employees. So, very clearly, that is benefited by the pay commission. I don't think that the same fund a of small cars applies even for the government employees. Very clearly, even their aspirations are coming in. That is point number one.

 Point number two, this whole funda of small cars, I think people are misinterpreting it to hatches.
So, I'll just explain this. You know, if you see, hatches percentage is continuously going down. Very clearly, it is going down. In quarter one, it has gone down to 21%. However, what is

happening is INR 6 - 8 lakh segment, where people earlier us

ed to buy hatches, are now buying
cars like EXTER or say for that matter, Punch as well. And that segment is really growing at a very fast pace.
So, customer choice has moved from hatches to SUVs and in the same price range, because obviously, he gets a better ground clearance, he gets a better visibility, he gets six airbag as standard, he gets a sunroof, he gets a very good body type. So, I think this is how you need to not differentiate . When you say small cars, it is no more about hatches.
I think we have to see whether the price segments are also moving up. And less than 10 lakh is not really moving too much in favor of more than 10 lakhs. I mean, it moved three years back . But now last one and a half years, it is very stable. But yes, more and more SUVs are getting sold.
The last point is about the first time buyers, where very interestingly, first point is at an all model basis, our first time buyer percentage has gone up from 32% in 2020 to 40% now in 2025. And even in models like CRETA , first time buyer percentage is 32%. It used to be 13% in 2020 . Now it is 32%.
Even in VENUE , it is 45% now, it used to be 29% earlier . So, you can see the first time buyer , because of good financing, because of more and more youngsters coming in, because of children playing an important role in influencing the decision of their parents , all these factors are making aspiration more important than functionality, resulting in better SUV sales. Thank you.
Pramod Kumar: Just a follow up Tarun sir, network expansion, you talked about 7 out of 10 incremental being rural, but any broad numbers as to where you want your target to your overall network to grow for this year and next year in terms of number of outlets which you' re going to add at the broad network level, urban plus rural?
Tarun Garg: Look, I would only say that we are very flexible in this. We continuously see the market and we do a balance , viability of the network is also very important. As you know, if you see FADA dealer satisfaction , last three year average, Hyundai is ranked number one and way ahead of its peers as well as industry average.
So, I think we need to keep track of that as well. And so, what we are doing is especially in rural areas, we're going for new dealer companies . We are giving opportunity to the existing dealers to expand. In fact, 75% of my overall expans ion is being given to existing dealers so that they can keep their costs low and sales per dealer company continues to go up.
I will not give you the targets for this year and next year because obviously this is a confidential strategy, but at the same time, like I said, a big focus area is rural. And today, I am present in 75% of the districts in the country and it continues to go up. Almost 50 to 60 LOIs are in the pipeline, which should be activated in the next five to six months. So, I think this is the best I can do in terms of sharing the data. Thank you.

 Pramod Kumar: Sir, last question on CRETA . It's been a phenomenal achievement that the brand which triggered the SUV segment is still without any incentives because the slowdown is clearly creeping up the price points. We've seen that last year with the small SUVs, this year with the midsize SUVs . Practically outside of CRETA , every model is on a discount and abundant inventory available.
So, how do you see that? It's, of course, one thing to be very proud of and what you've done here and the affection of t he customers very much with you, but isn't that a bit of a risk as well when you look at the year forward before the big upgrades come in on CRETA or the big platform change?
Should we expect that there will be discounts or incentives which will creep up in CRETA as well or you have

a strategy around to keep it kind of insulated from the discounting bit because
once you start discounting, there's never going back, right? So, I just want to understand your thoughts on that.
Tarun Garg: This question has been asked to me every year since the last three years, will CRETA continue to grow ? Happy to report that continuously every year it has grown double digits, very healthy double digits, not because CRETA remains the same. Please see what we have done to CRETA . You saw the facelift which we did in January 2024 .
It was almost like a full model change and the result was fabulous. And not only the product, if you see the entire marketing campaign, the brand ambassador, what we have done now, the 10 - year thing has come in, you would have seen the kind of activities w e are doing. So, the whole idea is to continue to keep on creating excitement around the brand, number one.
Number two, if you see the kind of variants we have been able to introduce in CRETA , like for

example, we got a feedback that customer wants an automatic in the lower trims. Now, that gives me an opportunity to maintain my ASP, average selling price, at the same time, give more opportunity to the customers by democratizing the AT or may be bringing sunroof in the lower variants as well.

So, you know, rather than joining the price war or the discount war, what I am doing is bringing in those premium features in the lower variants, which really helps me to do that. That is point number two. Number three is , if you see dependence on CRETA , even Venue today is contributing 17% to my sales and it is number 14 in the list out of total 100 brands.

Even EXTER contributes 13% to my list, i10 10 %, Aura 11% continuously going up, i20 is 9%.

So, I think whether you see hatches, sedans, SUVs, unlike many of the industry players who are very very skewed towards only one, we have a very healthy mix of hatches, sedans, and SUVs.

And obviously, because SUVs is the way where customers are wanting more , more launches happening there and , more and more contribution also coming there.

At the same time, I would say that sedans as well as hatches continue to be a very important part, because they're also helping me to meet CAFE. If you see the CNG penetration in Aura is 89%.

And even in EXTER , it is very high, more than 30%. And that has also helped me , in addition , to meet the CAFE. Yeah, thank you.

Pramod Kumar: Thanks a lot and wish all the best. Thank you.

 Moderator: Thank you. Our next question comes from the line of Vipul Agarwal from HSBC. Please go ahead.

Vipul Agarwal: Thank you for taking my question. So, my first question is on the localization of your ICE portfolio . So, it's currently around 18% of your parts is still imported. So, is it possible to pin down a few parts which are still, which can be localized pretty easily or maybe in a time frame of next couple of years? And what kind of margin expansion we can expect from that localization over there?

K S Hariharan: Vipul, you're asking about localization in ICE portfolio?

Vipul Agrawal: Yes. Localization in ICE portfolio? Yes.

K S Hariharan: Yeah. The localization level as I had mentioned earlier, which is about 82% , it is blended localization including EVs. But of course, if you look at our EV contribution in our total portfolio, it is quite less in the current scenario.

We have been continuously trying to improve the localization. We have been identifying a lot of opportunities. Recently , we have localized many of the components, for example, even sunroof is a classic case which we have localized last year. These initiatives are giving us a lot of advantage , even in terms of margins. We have a dedicated localization team working a

s part
of the procurement function. Their role is basically to identify such kind of opportunities wherever we can go for such implementation .

But one thing we need to understand, there are some items, for example, if you take electronic items, the chips, where the availability of these components in the domestic market is still a challenge , those cases, obviously, we need to go for import sourcing only. Nevertheless, we will be continuously looking for opportunities here. Wherever possible, we will try to go for the localization.

Vipul Agrawal : Sorry , actually, my question was like , you localized the sunroof. So, do you have any like big parts in pipeline, which can be localized soon and are available? Maybe it's like it's pretty visible at this point in time that these parts will be localized in next couple of years if you can share as possible.

K S Hariharan: Maybe a little difficult to give specific details. But there are a lot of opportunities. Again, as I mentioned, in financial year '24, the localization level was 78%. And we have improved to 82% in the current scenario. So, you can understand quite a lot of efforts we have done here . This will be a continuous process . Wherever there is opportunity, we would like to capitalize on that.

Gopala Krishnan C S: Added to that , we have been localizing the high technology parts by partnering with the global players. And this will not only help us to reduce costs, but at the same time, we can de -risk the entire supply chain. As Hari said, we're giving a very strong focus in line with the Government of India's initiative, the Make in India program.

Vipul Agrawal : Understood . Thank you, sir. So, my second question is on the premiumization trend. Like sir already mentioned that now you are basically democratizing the high -end features like AMT and

 other features. What we see is like now light seats, dashboard, mostly sunroof are largely available across the models. So, what part can be premiumized now?
Like maybe if I'm looking from, say, if I take 3 years perspective and take a revenue CAGR , so what would be your aspiration to go beyond the volume growth CAGR in the next 3 to 4 years and that will be driven by premiumization? Because I think that large part of premiumization is largely done in the industry now.
Tarun Garg: Not really, I would say. I'll beg to differ with you. Even on sunroofs, quarter -on-quarter from 51% last year, we have moved to 54.4%. And let me answer your question. One is more and more models with sunroof. Even today in my portfolio, for example, hypothetically speaking, Nios does not have a sunroof. Aura does not have a sunroof. Why not? So, I think opportunities like this exist. This is point number one.
Point number two, more and more features are coming in. It's not only sunroof. Suppose today in-car payment has come in. Maybe more and more models can come with in -car payment. Then, like I mentioned, in the lower trims, we are adding automatics, we are adding sunroofs, we are adding ADAS.
So, as Indian market evolves, I think there will always be an opportunity. And the biggest point is because we are a part of Hyundai Motor Company, where, please understand, as Hyundai Motor Company, we are very strong in the US market. We are very strong in the Korean market. We are very strong in the European market. So, these are all developed markets.
So, we get a first -hand experience of what are the features which are working there. And typically, what we have seen is with a couple of years lag, some of those features very clearly, become a rage in India. And Hyundai has been a benchmark creator here. Like, for example, 2.5 years back, we introduced ADAS. And today, ADAS is contributing a good 12 .3% to my

overall
sales. And nine of my models are having ADAS already. Because, at that time, I had not predicted maybe that highways will have a speed of 120 kilometers an hour. But then it has happened in India.
So, I think as India grows, as India becomes younger and aspirational, and as our technology prowess goes up, and as the electronic architecture in the system, in the car becomes more and more important with more and more software -defined vehicles, I think by being a part of Hyundai Motor Company will give us a huge edge with more and more opportunities in premiumization. But I cannot answer how much basis point it will help in profitability. That is very very hypothetical, and very very difficult to answer. Thank you.
Moderator: Our next question comes from the line of Raghunandan from Nuvama Research .
Raghunandan: Thank you, sir , and congrats on better quality of sales. On my first question, we are strong in UVs and CRETA has been phenomenal, but there are white spaces in MPVs. Considering there is a plan to launch eight models by FY27, can we expect any action in the MPV space?
Tarun Garg: As you know we have already announced that we are going to have 26 new models, including facelifts, in the next 5 years. On 15th of October, we are going to have the Investor Day, more

 details on the future models you can expect on that day. Please kindly bear with us till then.
Thank you .
Raghunandan: Sure, sir. We'll patiently wait for the event. Thank you. Secondly, on Talegaon plant , engine manufacturing started recently. Would vehicle manufacturing be on track to start before the end of the year? And also by end of next year, what kind of capacity utilization ramp up can happen there, given that you would marry all the new productio n to happen from there?
K S Hariharan: Raghu if you see, yes, recently we have started the engine production. Even the vehicle production plan is well on track. As we had earlier committed, we are planning to start the vehicle production from this plant in quarter three of the FY '26. So that is point number one.
And number two, on the utilization level, as we had indicated earlier, during the initial period, the capacity utilization will be little low only. But as we move forward, we would like to accelerate both on the export side as well as on the domestic side. As we had discussed earlier, going forward, we expect gradual recovery should be happening for domestic with all these stimulus measures from the government side.
Even on the export side, we expect the momentum should continue. As you know, we would like to position ourselves as the manufacturing hub for emerging markets. So, we are looking at a lot of opportunities here. So, once this capacity commences, that really should open up a lot of opportunities for us even on the export front as well. So, that is what we are looking forward in the near future.

Raghunandan: Thank you, Hari. Just lastly, can you share the discount number as a percentage of sales?
K S Hariharan: Discounts during the quarter was 3.4% on ASP, the domestic discount.
Moderator: Our next question comes from the line of Gunjan Prithyani from Bank of America .
Gunjan Prithyan i: Yeah, hi. Thanks for taking my questions. I actually had the follow -ups on margin, I think, Raghu asked about this discount. Is this 3.4% comparable to the 2% that you shared in the last quarter?
Tarun Garg: Yes, yes. It is comparable. The market situation has changed. But two things you must keep in mind. One is all the results obviously include this 3.4%. All the EBITDA and the PA T, PBT, whatever you are seeing includes that. That is point number one.
Point number two, ASP has actually gone up year on year , 7.60 lakhs last year same q

uarter and
now 7 .65 lakhs . So in a market where competition has given discounts to the tune of 4.5% to 5%, and of course having price cuts, whereas we have been able to increase our ASP in quarter one of financial '26 and keep the discounts much under check. So, yes, this is our strategy going forward and we believe that similar levels or slightly lesser levels should be going forward as well.
Gunjan Prithyan i: Yes. No. I think what I am trying to understand is, given the discount rise, when I look at the numbers now about 1.4 percentage point increase versus last quarter on discounts and then the operating leverage being lower in this quarter, I am just trying to sort of think through that you

 have been able to deliver very very resilient margin in that context. So, is there anything beyond product mix you know ? Because you did speak about RM 50 basis point. Is the model mix and export mix that big a tailwind that we were able to offset almost 2 percentage point impact of discounts and lower operating leverage?
K S Hariharan: Gunjan, as you rightly mentioned, one is the export mix. Higher export mix we had, whether it is a sequential basis or even on a year -on-year basis, the export mix has been much better. We also had the price increase in domestic market in the month of Janu ary. So, that also has supported us with some margin improvement.
Apart from these things, in fact, if you look at even the model mix, the model mix in domestic was quite positive, especially with more of CRETA sales. I think that has also supported us positively during this period. And of course, material side as I alre ady explained, the localization efforts and the other cost optimization efforts have really supported us, as far as the margin improvement is concerned.
Gunjan Prithyan i: Pretty solid performance in that context. Just to be clear, there is no impact of engine plant commissioning in this quarter and if there is any, can you just give us some sense, how should we think about the depreciation line item going into the next quar ter for this plant?
K S Hariharan: This quarter we started our engine operation in the middle of June month only. So, as such, very negligible impact in the P&L.
Gunjan Prithyan i: Okay. Okay. And my second question is on the export business. Now, export, the growth – the volume growth is pretty strong, but I do see the ASP has come off pretty meaningfully. Is there can you just throw some light on, is this a geo mix change? Is it m ore sort of aggression in the export markets, something that we should be reading from a strategy perspective or some color on that, please?
K S Hariharan: On the ASP front, if you look on a year -on-year basis, export, there is some decline in the ASP. This is mainly because of the increased discount level in recent times. We have been seeing very strong demand for our products across different markets. Recently, we are getting a lot of fleet orders. For example, markets like Middle East, Africa, for our models like Verna, Aura, we are getting a lot of fleet orders. So, in order to meet these demands, we have also supported with some higher discounts. That has resulted in some reduction in the ASP for exports. However, if you look on a sequential basis, ASP is more or less stable for us on the export front.
Tarun Garg: So, basically, if you see, I think this is a very good lever. And I think as a strategy, we decided that, yes, in terms of capacity utilization, as well as overall margins, and like you mentioned that solid performance in that context. I think one reason w as that we were able to increase and enhance export by giving a little bit of a higher incentive.
So, I think we look at it as a holistic strategy, quality of sales, and MD ment

ioned in his opening
remarks as well. And since IPO, we have been mentioning this balance between domestic and export, and this lever that we enjoy versus some of the other comp anies. I think that really helps us to navigate through some of these challenging domestic market environments and that is what we have used.

 Gunjan Prithyan i: Okay. I'll fall back in queue.

Moderator: Our next question comes from the line of Raghvendra from Ambit Capital.

Raghvendra: Yes. Yes. Thank you, sir. Congrats on great set of numbers. Just can you give me some quantitative view on how you are looking at things progressing on CAFE -III norms and likely implication on cost, if you can segregate between a small car and a UV kind o f vehicle, any directional guidance you'd like to share?

Tarun Garg: Look, Hyundai has been in India now for 29 years. We have met all regulations and we have always believed that SIAM is the one agency which talks to the government and does the best for the auto industry. As far as general, I would say that, as a part of H MC, HMI is one company which has access to all technologies. We have petrol, we have CNG, diesel, strong hybrid, plug - in hybrid, for that matter, even hydrogen vehicles. So, we are watching this and waiting for the final notification to come in . As we have met in the past and as we are doing it currently, we are fairly confident that we will be able to meet CAFE -III. But we do not have any individual view. We will go by SIAM's collective view from the auto industry.

Raghvendra: Okay. That's all from me, sir.

Moderator: Ladies and gentlemen, we'll take this as our last question for today. I now hand the conference over to Mr. Aniket Mhatre for closing comments.

Aniket Mhatre: Thanks, Sagar. Ladies and gentlemen, that concludes our conference call for today. On behalf of Hyundai Motor India Limited, we thank you for joining us and you may disconnect your lines. Thank you. Have a great day.

Note: Edited for brevity and inadvertent errors.

Call: Oct 2025

“Hyundai Motor India Limited
Q2 and H1 FY'26 Earnings Conference call”
October 30, 2025

MANAGEMENT : MR. UNSOO KIM – MANAGING DIRECTOR ,
HYUNDAI MOTOR INDIA LIMITED
MR. TARUN GARG – CHIEF OPERATING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. GOPALA KRISHNAN C S – CHIEF MANUFACTURING OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
MR. SARAVANAN T – FUNCTION HEAD , FINANCE ,
HYUNDAI MOTOR INDIA LIMITED
MR. K S HARIHARAN – HEAD , INVESTOR RELATIONS ,
HYUNDAI MOTOR INDIA LIMITED

MODERATOR : MR. NISHIT JALAN – AXIS CAPITAL

 Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY'26 Earnings Conference Call of Hyundai Motor India Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

I now hand the conference over to Mr. Nishit Jalan from Axis Capital. Thank you, and over to you.

Nishit Jalan: Thank you. Good evening, everyone, and welcome you all to the Q2 and H1 FY'26 earnings conference call of Hyundai Motor India Limited. Fro m the management team, today we have with us, Mr. Unsoo Kim, Managing Director, Mr. Taru n Garg - Chief Operating Officer, Mr. Wangdo Hur - Chief Financial Officer, Mr. Gopala Kr ishnan C S - Chief Manufacturing Officer, Mr. Saravanan T - Function Head, Finance and Mr. K S Hariharan - Head of Investor Relations from Hyundai Motor India Limited.

Before we start, I would like to inform you that th e call is being recorded, and the audio call and transcript will be available at the company's websi te. I would now like to invite Mr. K S Hariharan, Head of Investor Relations, to start the call. Over to you, Mr. Hari.

K S Hariharan: Thank you, Nishit. Good evening, everyone. Welcome to the Q2 and H1 financial year'26 earnings call.

Before we begin, I want to remind you of the safe h arbor. We may be making some forward-looking statements that have to be understood in co njunction with the uncertainties and the risks that the company faces. The conference call will be gin with our MD remarks on the performance and outlook, followed by a brief presentation by me on Q2 performance, after which we will be happy to receive your questions.

Now I handover to our MD. Over to you, Sir.

Unsoo Kim: Thank you, Hari!

Good evening and welcome to the Second Quarter Earn ings Conference Call for financial year 2026. At the outset, I would like to express my sin cere gratitude to everyone for showing great interest in HMI’s first ever Investor Day. We succe ssfully concluded our Investor Day, showcasing strategic roadmap till 2030. Our Global CEO’s participation reinforced HMC’s unwavering confidence in India's potential and HMI' s contribution to the group's global ambition. In the words of our Global CEO, "India is not just important to Hyundai's Global Strategy, India is Hyundai's Global Strategy."

GST 2.0 marks a transformative milestone and brings renewed wave of optimism – one that fuels growth, enhances ease of doing business and strengt hens consumer confidence. It is a reform that sets the tone for sustained industry momentum including empowering millions of customers by making personal mobility more affordable and acc essible. Following the implementation of GST 2.0 reforms, the Indian automobile industry wit nessed a strong wave of demand momentum.

 This led to positive shift in consumer sentiments c oupled with improved affordability, which translated into remarkable surge in sales in last w eek of the quarter, partially offsetting the muted demand amid postponement of buying by the customers .

It is overwhelming that these macro tailwinds have come at the most opportune time for HMI, coinciding with our Pune Plant expansion and produc t launch cycle, which will further reinforce our commitment to accelerate.

Talking about domestic sales performance during the quarter, sales volumes improved sequentially by nearly 6%, propelled by GST reforms and vibrant festive boost. During the quarter, HMI marked domestic SUV sales penetration at 71%, highest-ever since inception.

Rural market continues

to be one of the key pillars of our domestic growth strategy. Our focused efforts in terms of channel expansion and d eeper market penetration, along with targeted marketing initiatives are yielding positiv e outcomes, with rural sales contribution further inched up during the quarter, reaching a re cord high of nearly 24%.

Exports continued its robust momentum during the qu arter with nearly 22% growth on year-on-year basis. We are witnessing strong demand tractio n in our key export markets, with Middle East & Africa recording a remarkable volume growth of 35% and Mexico recorded a growth of 11%. Going forward, we expect to leverage our new p lant capacity and new product launches to sustain this growth momentum.

HMI remains committed to advancing the vision of 'M ake in India' and driving inclusive growth across the mobility ecosystem. We will continue to benefit from the synchronized growth of domestic and export markets, fueling our two-pronge d growth strategy.

Coming to margins, we delivered yet another quarter of strong EBITDA margin performance at 13.9%, with favorable product & export mix along wi th cost optimization efforts.

With the commencement of vehicle production operati ons in Pune Plant from this month, the incremental cost impact may weigh on profitability in the near term. However, we are confident that we will minimize the above impact & secure hea lthy margins through better operating efficiencies and cost control measures.

On domestic front, we aim to keep pace with the ind ustry's growth momentum for the residual part of the year, while our strong export performan ce is set to surpass targets for Financial Year 2026.

We are gearing ourselves for the much-awaited launc h of the all-new Hyundai VENUE on 4 th November. The new VENUE truly embodies our vision o f 'Tech up. Go beyond,' offering a driving experience that is both dynamic and deeply connected to our customers' evolving lifestyles.

We believe it will be a catalyst in fortifying Hyun dai's leadership and expanding our stronghold in the compact SUV segment.

 To conclude, we are focused on sustaining growth by leveraging GST-driven optimism, executing our product launch plans effectively and strengthening our on-ground efforts to capture emerging opportunities. This synergy is poi sed to reinforce our competitiveness and accelerate our growth trajectory.

Thank you. Now I handover to Hari.

K.S. Hariharan: Thank You Sir !!

Let me now explain about our business & financial p erformance.
First of all, we are truly excited about the upcomi ng launch of the all-new VENUE on 4 th of November.
We are confident that with an upgraded design, cutt ing-edge features and class-leading safety, the all-new VENUE will redefine customer convenienc e and set new benchmarks in the compact SUV segment.
Talking about business highlights, we continue to c arry out product interventions across segments & models. So far in first half of FY'26, w e have executed 20+ interventions. This strategy helps us in maintaining market competitive ness, aligning with evolving consumer preferences.
Our SUV portfolio now contributes more than 70% in volumes this quarter. The demand for SUVs continues to be robust, particularly in the wa ke of GST reforms. This reform unlocks growth opportunities for Hyundai, especially in ent ry and sub-compact SUVs like Exter and Venue, which offer perfect balance of aspirations a nd affordability.
As already highlighted by our MD, rural sales conti nue to grow for HMI and we have achieved highest ever rural penetration of 23.6% during the quarter.
During the quarter, we concluded the wage settlemen t agreement with the recognized Union for the period 2024–2027 which sets a new benchmark in the aut

omotive industry & reflects our
shared commitment to fostering a progressive workpl ace culture, that prioritizes employee welfare & supports long-term organizational growth. We are also happy to share that in line with our commitment, we commenced vehicle production ope rations at our Pune plant from 1 st of October, a strategic step to support our future gro wth plans.
Moving onto sales performance for the quarter. We a chieved total sales of 190,921 vehicles in Q2 FY26, compared to 191,939 vehicles in the same p eriod last year. In the domestic market, we sold 139,521 vehicles compared to 149,639 vehicl es in the same quarter last year. Exports played a key role in sustaining overall volumes dur ing the quarter. Our exports grew by 21.5% year-on-year, driven by strong demand in emerging m arkets. The consistent upward trajectory in our export volumes reflects the global competiti veness of our product portfolio and underscores HMI's strategic importance as HMC's glo bal manufacturing hub - a shining example of 'Make in India, Made for the World.'

 On a sequential basis, we saw growth in both domest ic and export markets during the quarter, reflecting our dual engine growth strategy.
Moving on to volume mix for the quarter. Both urban & rural markets continued to witness strong traction in SUV volumes. Hatchback reported decline , whereas Sedan volumes increased marginally on year-on-year basis.
Coming to the fuel mix, we observed strong traction in both Diesel and CNG powertrains. Diesel accounts for 23% of our volumes, while CNG contribu tes 15%, during the quarter.
Now coming to financial highlights for the quarter. Our revenue from operations stood at ■174,608 Million in Q2FY26, as against ■172,604 Million in Q2 of previous year.
EBITDA for the quarter stood at ■24,289 Million, as compared to ■22,053 Million in Q2FY25.
We were able to deliver strong EBITDA margins at 13 .9% as compared to 12.8% in Q2FY25.
EBIT stood at ■19,114 Million in Q2 of FY26, as against ■16,868 Million in Q2 last year. EBIT margin was at 10.9% as compared to 9.8% in the same quarter last year.
PAT for the quarter was ■15,723 Million as against ■13,755 Million in Q2 of FY25. We delivered a strong PAT margin of 8.9% as against 7.9% in Q2 o f last financial year.
This reflects our continued focus on operational ef ficiency and margin enhancement.
Our revenue from operations stood at ■174,608 Million in Q2FY26, as against ■172,604 Million in Q2 of previous year.
EBITDA for the quarter stood at ■24,289 Million, as compared to ■22,053 Million in Q2FY25.
We were able to deliver strong EBITDA margins at 13 .9% as compared to 12.8% in Q2FY25.
EBIT stood at ■19,114 Million in Q2 of FY26, as against ■16,868 Million in Q2 last year. EBIT margin was at 10.9% as compared to 9.8% in the same quarter last year.
PAT for the quarter was ■15,723 Million as against ■13,755 Million in Q2 of FY25. We delivered a strong PAT margin of 8.9% as against 7.9% in Q2 o f last financial year.
This reflects our continued focus on operational ef ficiency and margin enhancement.
Talking about the drivers of margins, on a year-on- year basis, the improved margins are attributed to favorable product & export mix couple d with cost reduction efforts.
On sequential basis, the key margin drivers were be tter volumes and product mix amongst others.

This concludes my presentation. Thank You all for y our time and attention!!
Now we open the floor for Q&A.

 Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our fi

rst question from the line of Chandramouli Muthia h from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: Hi, good evening and thank you for taking my questi ons. My first question is just on the festive season. I just want to understand what growth Hyund ai would have registered in wholesale and retail in terms of the festive season and how you a re thinking about potential momentum post-festive season and the balance of the fiscal year?
Tarun Garg: Thank you for your question. If you see the festive season, we count the festive season from 1st Navaratri to Diwali, which was 22nd September to 23 rd October, which was the end of Bhai Dooj. So, retails actually grew by 23%. When we do a deep dive into which segments, Hatch segments grew by 16%, Sedan grew by 47%, SUVs grew by 21%.
More importantly, Exter plus Venue grew by 28%. So, in the festive season, we very clearly saw that Exter and Venue grew. At the same time, as you know, Venue was seeing this transformation from old to new. We had some limitation in terms of the old Venue stock, so we lost out on that, but very clearly, the festive and the GST is giving a big impetus to the Venue and Exter segment and the 4th November launch of Venue should help.
The other way to look at it is, how does September plus October retail compare to January to August? When we see that, the growth was about 21%, Hatch is 24%, Sedan 14%, SUV is 21%, and Exter plus Venue again 27%. So, a very strong g rowth registered in the festive season as well as in the September and October versus January to August. Thank you.
Chandramouli Muthiah: That helps. I just have one follow-up question on t he product pipeline that you shared with us on the Investor Day. It was very useful. I just wan t to understand how you're thinking about rough timing of the MPV, the off-roader and the loc alized electric compact SUV. It would give us some sense on rough timing, when you potentially plan to bring those products to customers?
Tarun Garg: Actually, we shared a lot of stuff on the Investor Day. So, my request is let's stick to that. But the third question was answered by José. So, calend ar 27, we mentioned EV will be launched. I think let's stick to that because we have already s hared a lot of information on the investor day. We don't have anything further to add on that. Than k you.
Moderator: Thank you. Next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Good evening, Sir. Congratulations on a strong per formance in what I think was a very tough quarter. Firstly, Sir, on the margins we are pretty close to our upper end of the margin guidance. And I just want to understand what are the reasons that management has been conservative in giving margin guidance for the future?
Because capacity will grow from here. And are there company-specific factors or these are like industry-specific factors which will affect the ent ire industry because of which you are conservative on margin outlook? And if you could al so give a breakdown in terms of commodity costs and discounts for the quarter, what was the i mpact?

 K S Hariharan: Thanks, Kapil. If you look, on the margin front, th is quarter, once again, we delivered a strong performance. But we need to understand that with th e start of production at Pune plant, obviously, we are looking at some incremental costs , especially in terms of depreciation, labor costs and factory overheads. So, these elements wil l have some pressure on the margins for some time in the initial period, but as we move forward, we are expecting to ramp-up our production and the sales volumes. We have already indicated we are also looking at exports as a very good opportunity in the future. So, all these things sho uld de

finitely support us to secure healthy margins going forward.
On the commodity, as you asked, we had pressure in some of the items during the quarter. However, we have been doing cost optimization effor ts through our localization and value engineering activities. So, these efforts have help ed us to keep the material cost under check

during the quarter.
Going forward, we still expect some pressure may be there in some of the commodities. But again, the point is that, as we are continuously wo rking on mitigation efforts for cost optimization, we believe that we will be able to ma nage the situation.
On the discount part, sequentially, if you look at, we have seen some moderation in the discounts. Especially if you see domestic, our discount during the quarter was 3.2% of ASP. This is despite the market condition, as you already know, the indu stry has been giving further price cuts over and above the GST cuts. But we were able to follow a disciplined approach on the discounting front. I hope I have answered your question.
Kapil Singh: Yes thanks. The second question is now when we loo k at the market share outlook going ahead for the company, because we have seen some dip in m arket share, at least in the Vahan data. Can you just talk about what are the factors that h ave affected? Is it the model changeovers or any other supply constraints you are facing? And wh en we look at the second part of the year or period going forward, how to think about your marke t share?
Tarun Garg: Kapil thank you for the question. As I mentioned, V enue is the second highest volume grosser for us. And obviously on the retail front, we were constrained by the availability of Venue because the launch is on 4th November and retails w ill happen post that. So, obviously we had a little bit of a gap there. As you saw in the inve stor day, very clearly, the new 26 model pipeline starts from Venue.
So, we believe very strongly that this is the time when we will start, kind of, not losing market share. So, November onwards, we expect to really gr ow with the industry going forward and aided not only by the model cycle, but also, of cou rse, the local interventions which we are going to make. You saw that even in these last 6 months, we made some 20 odd interventions. So, we'll continue to make those interventions.
Rural is going strong. I think there are enough tai lwinds for us to now come back on the growth part. At the same time, what you must appreciate is that even in the not so good model cycle, we were able to limit our discounts. We did not join t he price war. You saw that pre-GST, there were

 OEMs who offered the customers the post-GST price. We refrained from doing that. Post-GST, some OEMs cut the price over and above the GST cut. We refrained from doing that.
Right from the IPO time, we have maintained that we believe in quality of sales. We believe in the balance between volume and profit. We believe i n the balance between domestic and exports. And I think all that is reflected in our margins an d our results, since then. So, I think the approach will remain the same. And to answer your specific q uestion, the new Venue should help us to get back into the growth phase starting November. Thank you.
Kapil Singh: Thanks. I look forward to the launch and best wishe s. Thank you.
Tarun Garg: Thank you.
Moderator: Thank you. Next question is from the line of Amyn P irani from JP Morgan. Please go ahead.
Amyn Pirani: Hi. Thanks for the opportunity. My question was on the continuous improvement that we have seen in your material costs. And you have talked ab out localization in the past. But are there any specific things that you can help us to underst and as to how are you able to drive this gross margin improvem

ent and how should we think about th e reductions and the cost savings in material cost going forward as to how much more sh ould we expect in the coming, say, 1 or 2 years?
K S Hariharan: Amyn, yes, as you rightly mentioned, material is so mething where clearly we have done a lot of activities. In fact, if you look at this quarter, w e have seen 110 basis points improvement on the profitability, mainly supported by material cost re duction. What we are doing is, one is the localization. As you know, last time also we indic ated, for the year before last year, our localization level was somewhere around 78%. Today, we stand somewhere around 82%.
Second thing is that, it is not only Tier 1 level, we are also looking at Tier 2 level as a potential opportunity for improving the localization. Apart f rom localization, we also do a lot of value engineering activities. That also helps us with som e cost reduction. So, localization is one. Second is value engineering. These two are major dr ivers for us in terms of controlling the material cost.
Gopala Krishnan C S: Yes, adding to that, we are localizing the parts, w hich gives us leverage for the cost reduction. During localization, we have a very strong focus on value engineering. During the process of localization, we do a process audit. We thoroughly study the processes, we do process optimization, and we try to implement the best prac tices across the plant, from global plants, and from our mother plant, which improves the overa ll yield. This also gives us an opportunity

for us to demand a better price from the vendors. T his value engineering is a continuous process. I can give few examples. How can you optim ize the route or how can you optimize the packing? We have simulation tools by which we can i mprove the overall packing. So, these kinds of continuous value engineering activities gi ve us leverage to reduce the material cost.

Amyn Pirani: That's very helpful. Just to follow up on that, yo ur localization is currently 82%, like you mentioned. Say over the next 4 to 8 quarters, theor etically, is it possible for you to reach 85% or even higher levels? Just want to get a sense as to how much localization is possible. And just

 another question. And after that, I'll come back in the queue. If you can also highlight what was the royalty number for the quarter?

Gopala Krishnan C S: With a strong, dedicated localization team, we are co-working with all of our stakeholders, including the HMC headquarters and HMIE R&D. So, ou r aim is to reach 90% by FY'30. Our focus is on high technology parts. For example, ele ctrical sensors, hardwares, premium car parts and electronic parts. And going forward, we'r e also looking for deep localization till Tier 3.

K S Hariharan: On the question of royalty, during the quarter, roy alty was 2.8%.

Amyn Pirani: Okay. Thank you.

Moderator: Thank you. We'll take our next question from the li ne of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: Hi. Good evening, Sir. Thank you for taking my ques tion. My first question would be your view on the recent issue around Nexperia. Is this someth ing that you are seeing as a possible impediment to growth or disruption in production?

K S Hariharan: Thank you so much for the question. If you look at Nexperia, the e-component issue, it is an industry-wide issue. There is no doubt. As far as H MI is concerned, we are constantly monitoring the inventory situation. We are also closely workin g with our vendor partners to mitigate this impact so that we can have uninterrupted production .

Arvind Sharma: All right. So, Hari Sir, is there something that co uld impact near-term or it's not a concern as of now?

K S Hariharan: As of now

, we are not facing much challenges becaus e we have some inventory for near-term. But this will be a continuous process for us to rev iew and align our countermeasures so that we can have seamless production operations.

Arvind Sharma: Sure. Thanks. Second question would be on the expor t part. You had given a guidance in last quarter. Given where the export trends have been in the first half, what would be the guidance for the full year, if you could share, FY'26?

K S Hariharan: Of course, exports have been quite strong for us in recent times. So Q2, as we had indicated, we grew by nearly 22% on the export side. The momentum is good. In fact, we are seeing very strong demand for our products across regions. As o ur MD had also indicated in the opening remarks, Middle East and Africa, we have seen growt h of 35%. Mexico has grown by 11%. This momentum should continue for us in the near te rm. Though it is difficult to give specific volume guidance, but what we believe is that, by th e end of this financial year, we will be in a position to exceed the guidance we had originally i ndicated during the beginning of the year.

Arvind Sharma: Got it, Sir. So, while you are not giving a number, but the 7% to 8% guidance.

 K S Hariharan: Yes. W indicated 7% to 8% originally, if you rememb er. We expect that we will be in a position to exceed that number.

Moderator: We will move on to the next question from Binay fro m Morgan Stanley. Please go ahead.

Binay: Hi, team. Congratulations for a good set of earnin gs. I have two questions, both for the second half. Firstly, it's good to see discount trending d own. How do you expect that trend to play out for the domestic market into the December quarter? Because you do have a new product launch. So, ideally, fair to assume that the discount trend should continue its downward trajectory?

Tarun Garg: Binay, we have maintained that we believe in qualit y of sales. There are definite tailwinds in terms of industry tailwinds, especially the GST. Of course, there are headwinds for the industry. You would know better than me. We believe that this is probably the maximum discount level.

The new Venue is being launched on the 4th of Novem ber, which should help us to reduce discounts. At the same time, we will need to be ver y watchful going forward how the industry landscape is panning out and how we are able to hav e a good balance between volume and profit. But yes, it seems that the discounts for us have pe aked out. Thank you.
Binay: I think that’s a good comment. Secondly, in the ope ning remark, we talked about the incremental impact of the new plant. How long or how many quart ers do you expect that to last, or what sort of capacity utilization rate in the new plant you n eed, to reach that margin trajectory so that it does not have a drag on margins.
K S Hariharan: Binay, we have started our vehicle production in Pu ne plant from this month, October. The major incremental costs would come from three elements. D epreciation, labor, and overheads. What we expect is there should be an increase of around 20% to 25% in the cost of these elements, over the current levels in Chennai Plant. So, these cost elements, will put some pressure for some time.
We are bringing Venue from this plant. We are prett y confident that we should be in a position to recover our volumes as far as Venue is concerned . Plus, we will be focusing strongly on the export markets as well. So, though it is difficult to give guidance, specifically about the timelines, but we expect that we will be able to ma intain healthy margins once these things are streamlined.
Binay: Great. And lastly just, team, one question on the C AFE norms, the CAFE-3. Any update you are getting from the governme

nt? When do we expect the final notification on that?
Tarun Garg: This is in discussion with SIAM, we are still await ing the final notification on CAFE-3.
Binay: Okay, great. Thanks, team.
Moderator: Thank you. We'll take our next question from the li ne of Gunjan Prithyani from Bank of America. Please go ahead.

 Gunjan Prithyani: Hi, thanks for taking my questions. The first quest ion is clarification on the comment that you made on the constrained availability of Venue. Can you share where the channel inventory is right now for you guys? And the numbers that you sh ared on the festive sales, I assume those were for Hyundai.
Is there a number that you can share for the indust ry as well? Because these numbers somehow are not similar to what we see on Vahan. So, maybe if you can just help us explain, is there an element which is not being captured on Vahan regist rations?
Tarun Garg: You have to just understand that because 15th Augus t to 22nd September, nobody could wholesale, nobody could retail. So, everything got piled up. Normally there is not so much of a difference between Vahan and retail and wholesale. But because of all this piling up, what happened was there's a logistic challenge, there's a capacity challenge, retail challenge. So, my point is that we need to be slightly patient. I bel ieve that this lag between Vahan and retail will continue for probably one more month. And only at t he end of November, we will know what was the actual situation. This is a very unique sit uation where for 37 days, basically customers postponed the purchase. And then everybody wanted a car suddenly. So, this is one.
The second is on the Venue. We are more or less don e with the old Venue stock. So, hardly we have any vehicles, a few hundred vehicles in the fa ctory and a couple of thousand vehicles in the network. But of course, because of that, what h appened was the old Venue stock was not available at many dealerships. And that is why we p robably lost out on the opportunity. But we believe this is a short-term pain for long-term gai n, because the new Venue is coming in full force on the 4th of November. And I'm sure you woul d have seen the pictures and all the initial response we are getting is very, very good. And on the 4th of November, stay tuned, because we'll be sharing a lot of things, including the pri ce and the features and the bookings received etc. Thank you. I hope I have answered your questio n.
Gunjan Prithyani: This is clear. I think just overall channel invento ry would have also run low. I'm assuming given that there was this sudden surge in logistics const raints, as you mentioned. So, at an overall level also, it's fair to assume that we are very, very lo w on the stock for the rest of the models?
Tarun Garg: Yes. If you see the last 6 months inventory, the ch annel inventory was about 5 weeks. Now we are running at about 3 - 3.5 weeks of channel inven tory, including transit. So, yes, the channel inventory has come down. But this is very normal. I mean, after every festival, the channel inventory comes down. Before every festival, the ch annel inventory is high. So, I don't read too much into it, but it is always healthy when the cha nnel inventory comes down, which means there is hunger in the system to take more. Thank y ou.
Gunjan Prithyani: Okay, got it. And the second question is on the new plant. I think very similar to what Binay

asked. Venue, it's now commissioned. If we were to think about the ramp up, and I'm not really looking for a timeline as to when the ramp up happe ns, just trying to understand the thought process that a completely new model is still some t ime away. How do you think the ramp up of the new plant happens? Is it going to be some of th e models, let

's say, a new Venue or an Exter,
which is not right now to its full potential. We so rt of start manufacturing it in the new plant and we expect a step up in the volumes of the existing models. And, you know, maybe exports,

 which you've spoken about earlier. Any thoughts on how this whole new plant ramp up happens? What are the models or transitioning of ex isting models or maybe, exploring new markets for exports? What is it going to happen in the next 6 - 9 months till we have a completely new model in the portfolio?

Tarun Garg: Look, it's a very difficult question to answer. I c an give you a very general answer that it is about a short-term pain for a long-term gain. Pleas e understand a new plant has come in. Obviously, it's a very natural phenomena for some k ind of a time gap. So, my request to you is, be patient. I think what we have demonstrated in th e past is our ability to really make innovations. For example, last 1 year was very toug h for us in the domestic market. We were able to step up on the exports. Last year was very tough in terms of price cuts and discounts. We refrained from that temptation to buy market sha re or buy volume at that cost. I think we will make all kinds of efforts to increase exports, to increase the existing models, to increase the Venue sales and increase all models sales also. I know this is a general answer, but I think we have enough on this. And you have to also apprec iate that beyond this, it is very difficult to give you specifics on how the specific margins will be affected or how the specific capacity utilization for the plants will happen in the next six to nine months. But we will continue to make all the efforts to improve it at the fastest p ossible pace. Thank you.

Gunjan Prithyani: Alright. Thank you so much.

Moderator: Thank you. Next question is from the line of Vipul Agrawal from HSBC. Please go ahead.

Vipul Agrawal: Thank you. May I request you to comment on any chan ge in customer behavior post-GST cut, like any sense on improvement in share of first-tim e buyers or variant upgrades by customers post-GST cut? And what will be the share of first-t ime buyers for Hyundai?

Tarun Garg: If you see, yesterday I think there's an independen t survey which was conducted by a news agency, PTI. 80% of the car buyers post-GST survey said that they use tax relief to switch to a better model, brand, or premium add-ons during the festive season post-GST 2.0 implementation. The report also suggests that SUVs remain the most popular choice amongst the buyers. Also, more than 60% of buyers plan to upgrade to higher v ariants within the same brand. And 46% have already shifted from hatchbacks to SUVs. This is an independent third-party report. I already shared that for Hyundai, very clearly, Venu e and Exter look to be the maximum gainers from this GST shift. But if you talk about first-ti me buyers, I think it's too early. It's only 37 day s. I think we do this survey after every one month. So , you have to wait for it. But generally, the first-time buyers for Hyundai have increased from 2 9% five years back to about 40% now. We continue to see great traction for the first-time b uyers, which is very good. Because if you see from an ASP perspective, it is going up for Hyundai . From an SUVization perspective, it is going up for Hyundai. Still, we are able to attract the f irst-time buyers, which means our value proposition has very strong affinity to the young a nd trendy modern buyers. And we believe the new Venue will further add to this kind of momentum . So as of now, I think this is what I can share with you. And I hope I have answered your que stion. Thank you.

Vipul Agrawal: That was helpful, Sir. My second question is on wha t are the trends between

the three categories?
Compact UV, UV1, and UV2 category. Like between Ven ue and Exter category, Creta category,

 and Mahindra Scorpio and 7OO category, post GST cut ? Do you think now compact UV category and the large UV2 category will grow faste r than the Creta category because of the GST changes? Any trend you are seeing over there?

Tarun Garg: There's no data. I mean, how do I know? Because the data will be shared after 10th of November. So, I think let's be patient. Broadly, for us, if I see September plus October projected numbers, SUVs have grown by 21% in retails. Sedans have grow n by 14%. Hatches have grown by 24%. And within SUVs, Exter plus Venue have grown by 27% . We are seeing strong traction for Creta also. So as of now, it appears that it will be comp act SUVs like Venue which will see a maximum growth. But other SUVs are also seeing strong tract ion. But I think we need to be more patient. And not only for October numbers, I think at least let us see two to three months, to see the real customer pulse on how each segment is behaving post the GST cut. Thank you.
Vipul Agrawal: Thank you, Sir.
Moderator: Thank you. Next question is from the line of Raghun andhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: Thank you, Sir. Congratulations for strong margin p erformance and festive greetings. Sir, my first question is, there is an increase in other op erating income by 31% QoQ to ■305 crore. Can you indicate if it includes any state government in centive and will it continue going forward?
K S Hariharan: Raghu, if you look at sequential basis, the increas e is mainly due to two reasons. One is we have seen sequential growth in export volumes. So that g ives us better duty drawback and other export incentives. Second thing is, the Tamil Nadu incenti ve. The MOU incentive normally accrues for us from the mid of August or end of August like tha t. So, that is also another reason for the increase in this other operating revenue. Going for ward, of course, the Tamil Nadu incentive will continue. We also, will be accruing the Mahara shtra incentive from the month of October.
Raghunandhan NL: Thank you, Hari, for that. My second question is on hybrids. Considering that there are no significant subsidy benefits like what EV has, how do you ensure that cost of ownership for hybrids will match with ICEs? And if you can give s ome color, when is the first launch expected?
Tarun Garg: So, in the investor day, our global CEO mentioned a very strong plan and the might of the Hyundai Motor Group in terms of supporting HMI. So, our plan is not limited to one powertrain. You saw a very healthy EV. He mentioned five EVs, a lot of hybrids, a lot of CNGs. We believe India is a very big country. Going forward, we have opportunities in all powertrains. Globally, if you see, EVs are also doing well, but hybrids ha ve seen a very strong growth. So, I think our timing for hybrids has been planned in a way where we believe that the customer preference would shift towards hybrids. Today, if you see, we don't have hybrids and the market is not really growing for hybrids. In fact, last year, hyb rid penetration contribution was around 2.5%. EV was also 2.5%. EVs have increased to 6% in Augus t. Hybrids remain at around 2.5%. So, very clearly it shows that Hyundai's strategy is ve ry right, that we are right now focusing on EVs and very strongly, like José mentioned, in 2027, we will come out with a fully dedicated EV for us, which will give us more traction. But going for ward, we believe there will be a strong market and the cost of ownership, everything else should t ake care of itself. I cannot really comment on

 what kind of incentives government will give or not give, but we believe that there will be enough customers down the line for all kinds of tec hnologies, and we will be offering the customers all kinds of options, whether it is hybri d, EV, CNG, or any other powertrain. Thank you.
Raghunandhan NL: Thank you so much, Tarun Sir. Just a clarification, within hybrid, you would look at all possibilities as well, plug-in, strong, range exten der?
Tarun Garg: Look, we gave a lot of information. My request to a ll of you is that let's limit to what we gave in the investor day. That's a fairness for everybod y. So, I don't have any further comment adding on to the investor day that what kind of hybrids ar e going to come. Thank you.
Raghunandhan NL: Thank you, Sir. We'll wait for the details.
Moderator: Thank you. We'll take our next question from the li ne of Pramod Kumar from UBS Securities. Please go ahead.
Pramod Kumar: Thanks a lot for the opportunity, Sir. Tarun Sir, a sking this question more from a strategic perspective, not looking for exact specifics or tim eline, but given the very high capex what we are planning to invest on R&D, as stated in the inv estor day, what are the kind of capabilities that you are aiming to build here over the longer t erm? Because you have pretty high localization levels. So if you can just help us understand, what are the kind of technological capabilities Hyundai Motor India will build with these kind of e levated capex, which will help us understand how critical these are and what kind of global capa bilities it gives you for export market as well? And also, in terms of filling any portfolio gap or technology gap, if you can just help us understand the kind of substantial amount of money and capabilities the listed entity will have under its belt.

K S Hariharan: The mid-term guidance what we have given is ■45,000 crores. First of all, we need to understand the major activities where we are planning to spend this. One is, out of this ■45,000 crores, 40% would be for product-related investments. When I sa y product, it is basically for the 26 launches over the next five years. So, that will obviously r equire investment into fixed assets like moulds, dies, etc. That is one. Another 40% would include m ainly capacity expansion, localization, systemization, and other similar activities. So, th is is a broad picture I wanted to share why we are investing all this money. We are looking at a g ood amount of growth, whatever we had indicated in terms of volume projection, market sha re, and profitability. So, all these things are linked to the investment as well. Because when we a re looking at growth aspirations, obviously it calls for investment as well. Hope I have clarif ied your question.

Pramod Kumar: No, but Hari, any plans of localizing battery chemi stry or hybrid power technology in India? I'm just trying to look at those aspects on the technol ogical side, what all localization will happen here?

K S Hariharan: Pramod, this is the broader guidance we can give at this moment. We will be in a position to share more details in due course of time. Hope you understand this.

 Pramod Kumar: Fair enough. The second question is on the product pipeline timeline. Given the elevated spend what we do and the kind of support we have from the global leadership for Hyundai India's plan, is it fair to assume that some of these launches co uld be ahead of what you have called out in the investor day? Because that's what has been the track record of Hyundai, even in the U.S. market, where José Muñoz was heading the business b efore taking up the global leadership roles. So, is it fair to assume that we can expect faster product launches from Hyundai going forward?

Tarun Garg: I think let's stick to the investor day. Again and again I'm requesting, whatever we have said on the investor day, let's stick to that. You already want us to deny what was said in the investor day and move ahead. I don't think we'll be able to do that. So, let's stick to what we have said in the investor day. There's a lot of information ther e. I think we have set a new industry benchmark in terms of information. My request is let's stick to that and wait for further guidance from us at an appropriate time. Thank you.

Pramod Kumar: Fair enough. Thanks a lot. Best of luck.

Moderator: Thank you. Ladies and gentlemen. We'll take that as the last question for today. I now hand the conference over to Mr. Nishit Jalan from Axis Capit al for closing comments. Over to you.

Nishit Jalan: Thank you, everyone. At this point, I'd like to tha nk the management for giving us the opportunity to host the call. With this, we conclud e today's conference call. On behalf of Hyundai Motor India Limited, we thank you for joini ng the call. And you may now disconnect your lines. Thank you so much.

Note: Edited for brevity and inadvertent errors

Call: May 2026

“Hyundai Motor India Limited
Q4 & FY’26 Earnings Conference Call”
May 08, 2026

MANAGEMENT : M R. TARUN GARG – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , HYUNDAI MOTOR INDIA
LIMITED
M R. WANGDO HUR – CHIEF FINANCIAL OFFICER ,
HYUNDAI MOTOR INDIA LIMITED
M R. GOPALAKRISHNAN CS –CHIEF MANUFACTURING
OFFICER , HYUNDAI MOTOR INDIA LIMITED
M R. SARAVANAN T – FUNCTION HEAD , FINANCE ,
HYUNDAI MOTOR INDIA LIMITED
M R. K. S. HARIHARAN – HEAD , INVESTOR RELATIONS ,
HYUNDAI MOTOR INDIA LIMITED

MODERATOR : M R. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES

 Moderator: Ladies and gentlemen, good day and welcome to Q4 an d FY’26 Earnings Conference Call of Hyundai Motor India Limited. As a reminder, all par ticipant lines will be in the listen-only mode and there will be an opportunity for you to ask que stions after the presentation concludes. Should you need assistance during this conference call, pl ease signal an operator by pressing (*) and then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chirag Jain from Emkay G lobal Financial Services. Thank you, and over to you.

Chirag Jain: Thank you. Good afternoon and we welcome you all t o the Q4 and FY’26 Earnings Conference Call of Hyundai Motor India Limited. Today, we have with us Mr. Tarun Garg, Managing Director and Chief Executive Officer; Mr. Wangdo Hu r, Chief Financial Officer; Mr. Gopalakrishnan C.S., Chief Manufacturing Officer; M r. Saravanan T., Function Head, Finance; and Mr. K.S. Hariharan, Head of Investor Relations from Hyundai Motor India Limited. I would like to inform you that the call is being recorded. I would now like to invite Mr. K.S. Hariharan, Head of Investor Relations from Hyundai Motor India Limited. Over to you, Hari.

K. S. Hariharan: Thank you, Chirag. Good evening, everyone. Welcome to the Q4 & FY26 Earnings conference call.

Before we begin, I want to remind you of the safe h arbour. We may be making some forward-looking statements, that have to be understood, in conjunction with the uncertainties and the risks that the company faces. The conference call w ill begin with our MD & CEO remarks on the overall business in FY26 and outlook for FY27, followed by a brief presentation by me on Q4 and FY26 performance, after which we will be hap py to receive your questions. Now, I hand over to our MD & CEO, Mr. Tarun Garg, over to you s ir.

Tarun Garg: Thank you, Hari, and good evening, everyone. As we complete our 30th year of operations in India, it feels like a moment to pause and reflect on the journey - one that has been shaped by resilience, adaptability and a relentless pursuit o f opportunities. Over the years, we have consistently embraced evolving market dynamics and transformed challenges into avenues for growth.

For us, this 30-year milestone is not just a corpo rate achievement. It is a shared story of trust, pride and progress. Thirty years strong and the bon d between Hyundai and its customers is only getting deeper.

In fiscal ’26, we have further strengthened this le gacy by laying a solid foundation for our next phase of progression, underpinned by the commenceme nt of our third manufacturing facility and

a pipeline of robust product launches. Together, th ese strategic initiatives position us strongly to usher in the next era of Hyundai's growth in India.
As you know, fiscal '26 marked a year of two distin ct phases for the Indian automobile industry, driven by a shift in policy and demand dynamics. Th e first half remained largely underwhelming, primarily due to muted customer sentiments. However , the landscape shifted meaningfully in the second half following the GST rate rationalizat ion in September, which acted as a strong catalyst for recovery.

 This shift coincided well with the commissioning o f our new plant and product launch cycle kicking in. Together, this created strong leverage and allowed us to respond to the improving demand environment, supporting a steady acceleratio n in growth in the latter half of the year.
Furthermore, this sustained momentum culminated in a strong Q4 fiscal '26 with our dome

stic
volumes witnessing a growth of 8.5% on a year-on-ye ar basis, marking our highest ever quarterly domestic sales since inception.
This growth was complemented by our agile product interventions across segments. The refreshed launch of Exter and Verna are poised to f urther accelerate volume momentum in the coming quarters.
The all-new Venue continues to be a strong growth d river, receiving an overwhelming customer response while consistently scaling up volumes sinc e its launch. This has further reinforced our strong position in the compact SUV segment.
Also, we are extremely proud that the all-new Venu e has secured 5-star safety rating under Bharat NCAP testing. We believe this shall strongly support the positive momentum going ahead.
Our business performance was also bolstered by impa ctful marketing initiatives. In this context, Hyundai's partnership with ICC marked a significant step which enhanced customer centricity by driving deeper engagement, leading to greater vi sibility.
On the regulatory front, we have fully met CAFÉ re quirements for fiscal '26. For CAFÉ 3, based on the recent draft, we have calculated the require ments, and we remain fully confident of meeting the compliance backed by our strong powertr ain strategy.
Beyond regulatory compliance, our focus extends to building sustainable and responsible business. ESG principles are embedded across our op erations, supported by robust frameworks.
As a key milestone in this journey, during the fisc al year, we have achieved RE100 across facilities, reinforcing our commitment to clean ene rgy adoption.
On exports, despite the ongoing geopolitical headwi nds, our volumes grew by 9.4% year-on-year in Q4.
For full year, our export performance witnessed str ong volume growth driven by robust demand for our products across emerging markets and our co ntinued focus on expanding into new geographies. This enabled us to register a growth o f 16.4%, significantly outperforming our initial guidance of 7% to 8%.
Our overall volumes during the year registered a gr owth of 1.7% with a healthy balance between domestic and exports.
Moving on to financial performance, we delivered a top-line growth of 5% on both year-on-year and quarter-on-quarter basis in Q4 fiscal '26, led by better volumes and prudent pricing actions.

 On the profitability front, the ongoing commodity pressures, along with seasonality in export business have impacted the margins on a sequential basis. That said, we were able to partly offset these through calibrated price increases, along wit h continued focus on cost control efforts.
In line with our margin guidance of 11% to 14%, we concluded fiscal '26 with a strong EBITDA margin of 12.2%, reflecting solid execution despite costs associated with capacity addition and commodity price pressures.
This resilient performance was supported by robust volume growth in exports, calibrated pricing strategy in the domestic market and our proactive c ost reduction efforts.
Moving on to fiscal '27, we have begun the new fina ncial year with a solid performance in April with domestic volumes registering growth of 17% yea r-on-year. As we move forward, we are well positioned to capitalize on the supportive dem and environment while strategically

unlocking the incremental opportunities arising fro m upcoming product launches.
We feel very excited to inform you that during thi s financial year, we shall be introducing two completely new nameplates, which have been keenly a waited by all of you. Both these launches are expected to meaningfully boost our volumes and act as powerful catalyst for our next phase of growth.
Of these two new launches, one will mark the debut of our new localized dedicated EV in the compact SUV space, accele

rating our transition towa rds electrification and strengthening our future-ready portfolio. The other one will further expand our presence in the ICE SUV segment.
Notably, both these launches are positioned in high -demand segments aimed at broadening our portfolio and deepening our presence. The upcoming EV will mark our entry into a new segment, while the ICE SUV will further reinforce our positi on in the mid-SUV category. When I say mid-SUV, I mean more than 4 meters.
Backed by these product actions and other initiati ves, we remain confident of delivering domestic volume growth of 8-10% in fiscal '27. Havi ng said that, our enhanced plant capacity and flexible operations position us to swiftly resp ond to any further growth opportunities even beyond 8% to 10% should they arise during the year.
On exports, while the current macro environment is uncertain, the demand for our products remains intact across key markets, providing us con fidence to recover export volumes as the market conditions improve. Even in an extremely unc ertain environment, we are determined to go the extra mile and deliver volume growth of 8% t o 10% in exports as well in fiscal '27.
We will be continuously strengthening our export r esilience through market diversification and product launch actions.
1) In Q4 fiscal '26, we commenced exports of new Venue , and we will continue to expand into newer geographies, further solidifying our pre sence. HMIL will, in fact, serve as a global manufacturer for the new Venue for HMC.

 2) We will be launching Verna PE and Exter PE in the e xport markets as well. Further, the volumes will be strengthened by introduction of Ext er LHD in the LHD markets.

3) Also, the two new nameplates, which we indicated, a re not only planned for the domestic market, but will be considered for export markets a s well in due course.
Our growth ambition plans will be fuelled by aggres sive investments of approximately INR 7,500 crores in fiscal '27, marking the highest eve r capex in recent years.
On margin front, despite the near-term headwinds, including inflationary pressures and geopolitical uncertainties, our endeavor would be t o deliver margins within the guided range.
We will be taking calibrated actions to support mar gins going forward.
As the upcoming two new models will be manufactured at our Chennai plant, it will bring back utilization to healthy levels in Chennai. And of co urse, we are continuously evaluating ways to increase production of Venue in Pune.
Goes without saying that we will continue to focus on proactive cost optimization measures, including localization and value engineering effort s.
In many ways, we see fiscal '27 as a year of buildi ng strong momentum, as we are gearing up with a lot of intent and energy.
As we complete 30 years of operations in India and enter the next phase of growth, we do so with strong conviction and a well-defined growth ag enda, committed to capturing the opportunities ahead.
As you know, we already announced our capacity expa nsion plans of reaching 250,000 units in Pune by calendar year '28.
I am pleased to announce that following the comple tion of the Phase 2 expansion in calendar year '28, we will undertake further capacity expans ion of 70,000 units at the Pune plant to support our future growth aspirations. This will ta ke our total capacity in Pune to about 320,000 units and overall capacity to more than 1.1 million units by 2030.
In order to be future ready, we are also leveragin g AI across our operations, and we have a clear AI roadmap in place aimed at unlocking opportunitie s across manufacturing efficiency, quality enhancement, supply chain optimization and enhanced customer experience, among others.
Finally, we feel c

onfident that Hyundai will conti nue to be part of your lives for the next 30 years and beyond, embracing a future that is greene r, smarter and more inspiring.
I am happy to share that the Board of Directors hav e recommended a dividend of INR 21 per

share for fiscal '26, which translates to a payout ratio of 31.4% on the consolidated profit.
Thank you for your patient listening, and now I han d it back to Hari.

 K. S. Hariharan: Thank you, Sir. Starting with the highlights, this quarter clearly reflects how we are steering HMIL into the next phase of growth, while simultane ously scaling our reach and deepening market presence.

During the quarter, we have enhanced our existing m odels - Verna and Exter by reigniting the design, technology, safety and comfort, which reson ate well with today's young Indians. The new Venue continues to garner new milestones and re cognitions. Recently, it has been crowned the "Compact SUV of the Year" by Autocar. All these demonstrate our consistent focus on agile product execution, which aligns well with the evolv ing market needs.

Our efforts to scale reach while growing deeper are yielding tangible results. We achieved an all-time high rural penetration, underpinned by our strong product offerings and on-ground efforts to strategically enhance our network reach.

Our CNG penetration, which was 13% in Q4 financial year '25 has been steadily growing, now reaching 18% in Q4 financial year '26. Aura recorde d its highest ever quarterly sales in Q4 financial year '26. Notably, the sales for this mod el were the highest on full year as well. Creta continues its reign as the segment leader, led by s trategic product enhancements in line with evolving consumer needs.

Moving on to our sales performance during the quart er. We achieved total sales of 208,275 vehicles in Q4 financial year '26 compared to 191,6 50 vehicles in the corresponding quarter, reporting a healthy 8.7% year-on-year growth. In th e domestic market, we sold 166,578 vehicles compared to 153,550 vehicles in the same quarter la st year, a growth of 8.5%.

On exports, we had an incredible year with a strong performance across all quarters. Though Q4 was impacted by geopolitical disruptions, we were s till able to deliver a growth of 9.4% for this quarter on a year-on-year basis.

This performance reflects our export resilience sup ported by diversified market presence and operational flexibility.

On a full year basis, our overall volumes grew by 1 .7%, majorly supported by strong export growth of 16.4% for the year and rebound in domesti c volumes in H2.

With respect to domestic segment mix, SUVs continu e to be the major contributor to our volumes. Notably, hatches and sedans showed growth during the quarter, aided by GST benefits and our product actions.

Talking about the fuel mix, a clear shift is visibl e away from traditional fuel options towards more eco-friendly powertrains and our multi-powertr ain strategy positions us well to capture diverse needs of the market.

Now coming to financial performance for the quarter . Our revenue from operations stood at INR 189,162 million in Q4 financial year '26 as against INR 179,403 million in the corresponding quarter. Revenue grew by 5.4% year-on-year due to b etter volumes and prudent pricing actions.

 EBITDA stood at INR 19,660 million as compared to I NR 25,327 million in Q4 financial year '25. EBITDA margin stood at 10.4% as compared to 14 .1% in Q4 financial year '25.

EBIT stood at INR 13,824 million for the quarter as against INR 20,023 million in Q4 financial year '25. EBIT margin s

tood at 7.3%. PAT for the qu arter was INR 12,556 million as against INR 16,143 million in the corresponding quarter. We delivered a PAT margin of 6.5%.

Let me now explain the reasons for the margin movem ent. On year-on-year comparison, if you see, PBT for Q4 financial year '26 reflects elevate d commodity prices, costs associated with capacity addition and unfavourable product mix. Tho ugh volumes were better, the cost pressures outweighed the benefits, leading to a decline in ma rgins on a year-on-year basis.

On sequential basis, better volumes, calibrated pri cing actions and higher government incentives helped to partially offset the impact of commoditie s and unfavourable sales mix during the quarter.

On a full year basis, revenue from operations stoo d at INR 707,633 million in financial year '26 as against INR 691,929 million in the corresponding period. EBITDA stood at INR 85,985 million as compared to INR 89,538 million in financ ial year '25. EBITDA margin was at 12.2%, well within the guided range. EBIT stood at INR 64, 005 million for financial year '26 as against INR68,485 million in financial year '25. EBIT margi n was at 9% as compared to 9.9% in financial year '25. PAT for financial year '26 was INR 54,315 million as against INR 56,402 million in the corresponding period. We delivered a PAT margin of 7.6% as against 8.1% in financial year '25.

While H1 was very strong for us, the margin softene d in H2 due to a combination of factors such as costs associated with capacity addition and elev ated commodity prices.

Coming to the outlook, as highlighted by our MD an d CEO, we are entering financial year '27 with a strong conviction and clear strategic direct ion to translate the momentum into sustainable and measurable growth. We believe we are well posit ioned to strengthen scale, enhance competitiveness and drive the next phase of growth.

This concludes my presentation. Thank you all for y our time and attention. Now we open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will take the first questi on from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Hi, good evening, sir and thank you so much for yo ur opening remarks, which was very helpful. Good to hear such energetic commentary given the to ugh conditions. Sir, my question is just a follow-up on the guidance you have given. So firstl y, on the margin side, if you can articulate, we are currently at about 10.5% margins, and we are guiding for a range of 11% to 14%. There seems to be further commodity pressure. So, what are the margin levers we are thinking of from here and also in the current quarter, how m uch commodity pressure did we face? And

 when we look at next quarter, what is the commodity pressure and how much is the pricing action that we have taken?

K. S. Hariharan: First of all, on commodity, last quarter, the impa ct on margins was roughly 120 basis points if you compare on a sequential basis. I would say that out of this 120 basis points, roughly 50 to 60 basis points would be kind of a one-off, which m ight not recur in the upcoming quarters.

In terms of price increase, as you know that alrea dy we did a price increase in January to the tune of 60 basis points followed by a selective pri ce increase for Venue in the month of March, and we will be doing one more price increase in May .

In terms of the overall margin outlook, in Q4 profi tability, we had some headwinds which we clearly explained in our presentation as well. The commodity prices were at an elevated level. Additionally, we also had a few one-off impact, in terms of Labor Code and other factors. So near-term, the commodity headwinds are expected to continue. I think we need to admit that. At the same time, we

also have some positive levers fo r us to drive the margins in financial year '27. I would like to just give a little bit more de tails on this.

Number 1 is the volume growth itself, we have alre ady guided 8% to 10% growth, both in domestic as well as export markets. Number 2 is the price increases, multiple price increases, which we have done and that should also support the margins to some extent and third important lever is the Chennai plant utilization level. As yo u know, Chennai plant utilization has come down a bit after we shifted “Venue” to the Pune pla nt. But now, upcoming two model launches, both will be coming from the Chennai plant, that sh ould improve the overall output and capacity utilization of the Chennai plant and that should su pport margins as well. Number 4, there are a few one-offs, which we indicated, in terms of commo dity and Labor Code impact in this quarter, therefore that should not ideally repeat in the upc oming quarters.

Last but not the least, the cost optimization meas ures, whatever we have been doing in terms of localization and value engineering efforts, these e fforts should continue even going forward as well. So, all these factors are clearly giving us t he confidence that we can still deliver margins within the range of 11% to 14% in the upcoming year .

Kapil Singh: Thanks for the helpful and detailed answer. Sir, s econd question is on the growth guidance for both domestic and exports. Particularly in exports, I noticed that our exposure to Middle East is quite high, but we have still guided for 10% growth and our volumes have been fairly resilient. So, some color on that, would be helpful and simil arly, for domestic 8% to 10% growth, do you think you will gain market share this year given th at you are having new launches? So some color on the domestic demand side as well. That's a ll from my side.

K. S. Hariharan: First of all, on the export front, since the war s tarted, our exports to Middle East have taken a hit. But we have been taking some countermeasures t o protect our export volumes. Number 1, we have been aggressively focusing on other markets . Even in the last quarter, we have increased our shipments to some of the markets like Latin Ame rica, Mexico. That has really helped us to some extent.

 Number 2, we are also continuously strengthening o ur product offerings for the overseas markets as well. The new Venue brings a lot of opportunitie s for us in the days to come. Verna PE, Exter PE, even the LHD version of Exter, should also supp ort our volumes to some extent. Even the two new nameplates, which will come this year, are not just for domestic market, it will be considered for export also in due course of time.

Importantly, demand has been pretty strong for us and quite healthy across markets. Even in Middle East also, we are having a healthy back orde r with us. So that is giving us the confidence that once the whole macro and geopolitical conditio ns start improving, the volumes should come back very strongly for us.

So that is the reason we are giving a guidance of 8 % to 10% growth even in fiscal year '27 in a totally uncertain environment. We hope that we can definitely achieve our targets, whatever we have promised now.

Tarun Garg: On domestic, CRISIL and ICRA had forecasted around 3% to 5% or 4% to 6% kind of growth for this fiscal. We believe 8% to 10% growth, we ar e looking at in this financial year for us and in case any further opportunity comes, we will be v ery quick, very agile to grab that as we have the capacity and new models as well. So, we are fai rly confident that we will be able to outpace the industry in this fiscal and gain market share. Thank you.

Kapil Singh: Okay. Great, sir. Best wishes.

Moderator: The next qu

estion is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team. Thanks for the opportunity. Clearly, the company will have a very busy year. I can't recall the last time you had two heavily localized nameplate launches in one year. Just on that, in the presentation that we did in October, we talk ed about two launches over FY27 and FY28. So, these are the two new nameplates? So, in a way, we will be done for 2 years with this? Is that the understanding, correct?

Tarun Garg: So you remember, you have a sharp memory. We are e xactly sticking to our guidance. In this fiscal, we have launched one full model change, whi ch was the Venue, one derivative which was the Venue N Line, two facelifts, which were Exter a nd Verna, exactly as per plans.

Over the next 2 years, we had guided for three ful l model changes, two new models. We are going exactly as per our plans. I think beyond this , if more opportunities come, we will look at it. But as of now, you can say that we stand heavil y committed to whatever we had told.

Binay Singh: Secondly linked to that, any guidance on timing wh en we can expect these launches during the year? The reason I ask is because when I look at yo ur March volumes on the domestic side and if I just annualize that, not the right way to do, given March is usually a big quarter, but that itself will imply a very healthy 10% plus domestic growth for us in financial year '27. So is it fair to assume that you are basically not building much volumes from these models into your 8% - 10% guidance for now or any timeline you could say is it towards the end of the year or so?

 Tarun Garg: I think we have given enough guidance on this. I c an only say that April volumes were already up 17%. Like I said, the geopolitical situation is very fluid. We still don't know about what will happen in the Iran war. So what we are saying is we are very agile and very flexible. We will see how the opportunities come and the volume from these two models is going to be substantial. So, it is not going to be like very small. It is go ing to be substantial even in this fiscal.

Binay Singh: No, that’s clearly exciting year ahead. We will ke enly watch. Thanks again for increased disclosures.

Moderator: Thank you. We will take our next question from the line of Raghunandhan NL from Nuvama Research. Please go ahead.

Raghunandhan Nl: Thank you, sir for the opportunity and heartening to see the positive outlook for FY27. With regard to the capex of INR 7,500 crores, can you pl ease indicate the areas and indicate a broad breakdown, if possible?

K. S. Hariharan: Out of this INR 7,500 crore, a major part around 4 5% to 50% would go into the upcoming new products. Around 30% will go into plant-related inv estments. When I say that, that means some portion will go for the Phase 2 expansion in Pune a nd there will be some investments for upgradation of the Chennai plant as well. So that i s the broader plan as far as capex is concerned.

Raghunandhan Nl: Thank you, Hari, very helpful. With reference to t he one-offs that you mentioned, can you quantify them? Because on a Q-o-Q basis, employee c ost, which is up 34%, what should be the sustainable number one should look at there and als o that 50-60 basis points within the commodity cost, which is not likely to recur, what does that relate to?

K. S. Hariharan: Firstly, on employee cost, if you see on a sequent ial basis, we have seen increase of nearly INR 100 crores. A large part of this relates to the imp act of Labor Code provisions and there is some accounting impact relating to the actuarial provisi ons also, some assumptions we have revisited. We understand that a major part of this is kind of a one-off, should not ideally re

peat in the upcoming quarter. And on commodity, the one-off imp act relates to vendor compensation for the past period.

Raghunandhan Nl: Yes, that is very helpful. Just the last one. Almo st 90 sales outlets have been added this year. And how has been the focus on the rural side and go ing forward, how do you target the increase in network? That's all from my end.

Tarun Garg: We are going very strong on the network expansion. Like I mentioned in my last call as well, almost 7 out of 10 outlets are coming in the rural areas. The good part is that rural penetration continues to increase. Quarter 1 was 22.6%. It move d to 23.6% in Quarter 2, then in quarter 3 it further improved to 24.1% and in quarter 4, it was at a historic high of 24.7%. But the best part is that now the urban has also st arted growing. So first two quarters, urban was negative. In quarter 3, it became plus 1% and now i n quarter 4, plus 7%. So, we believe that going forward, especially post-GST, the opportuniti es in rural are also very strong, supported by our network and marketing activities including 30-y ear celebration. We believe our focus will

continue at least for the next couple of years broa dly in this ratio of 7:3, 7 outlets in rural versus 3 outlets in urban.

Raghunandhan Nl: Thank you, sir. Very helpful. I will fall back to t he queue.

Moderator: Thank you. The next question is from the line of C handramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for taking my quest ions. My first question is related to clarification on the product launch disclosures. Th ank you for those disclosures. You had mentioned in the opening remarks that you expect a substantial volume accretion this year from these 2 new product launches. So, I just want to un derstand, are they likely to be sort of in timing terms pre-festive season? And also related to the p roduct launch point, now that there will be 2 launches this year, is it fair to assume that the M PV and the off roaders might actually be more in the FY '29, FY '30 launch cycle?

Tarun Garg: I am not commenting, you are not luring me into an y further disclosures. As I said, two new nameplates in this fiscal, is what we are sticking to. Both will be SUVs, one will be in the ICE, one will be in the EV. The ICE one will be in the m id- SUV, EV will be in the compact SUV and it will be a dedicated EV and both will have su bstantial volumes. I don't have anything to add further, and we are sticking strongly to our In vestor Day commitments, in terms of launch plan. Thank you.

Chandramouli Muthiah: Understood. The second question is related to marg ins. Some of the 2-wheeler makers who reported financials and given commentary on commodi ty costs and have indicated that commodity inflation could be anywhere between 300 t o 400 basis points headwinds in the upcoming quarters. So just similar to the margin br idge that you've given, I just want to understand thinking about the factors heading into sort of first half of next fiscal, is that sort of a similar range for the car industry as well to kee p in mind as sort of a gross headwind on the commodity front in terms of gross margin for the co mpany?

K. S. Hariharan: It is very difficult to quantify, how much the com modity will increase because it is highly volatile, right now. But in near term, some pressur e is expected. I mentioned earlier also, how we are managing this whole situation. Number 1 is t hrough the cost reduction efforts with localization and other activities. Number 2, we hav e been taking some calibrated price increases also. As you know, whatever price increase, which w e did last quarter, and there is one more to come in the month of May as well. So, broadly, thes

e should take care of the profitability. And our strategy is to take a proper balance between vo lumes and profitability. So, the price increase also is something we need to look at, based on the overall market conditions. Accordingly, we will take a calibrated call on this aspect.

Chandramouli Muthiah: Got it. And last quick follow-up is just on CAFÉ 2 . Three quarters back, you did make a disclosure that you had done close to 113 grams per kilometer CO_2 in 1Q this year. So just want

to understand how you ended FY '26 in terms of CAFÉ 2 and what your targets for FY '27?
Tarun Garg: CAFÉ 2, the target was 117.585 grams. We ended wit h 114.49 grams. This is minus 3.095 grams.
So, we are much better than the target.

 This is as per our internal calculation. And like I said, we are very confident about the CAFÉ 3.
Of course, this is the draft so far. However, based on the draft and considering our powertrain
plan, we are very confident that we are going to me et CAFÉ 3 as well.
Chandramouli Muthiah: All right. Thank you very much and all the best.
Tarun Garg: Thank you.
Moderator: Thank you. The next question is from the line of G unjan Prithyani from Bank of America. Please
go ahead.
Gunjan Prithyani: Hi, thanks for taking my question. Just 2 follow-u ps. One on the margin, can you talk about the
discounts for this quarter and also where we are on the new plant-related costs. I mean there was
supposed to be some 30, 40 basis points of impact t o come in this quarter. Is it fully reflected or
something else that we need to bear in mind?
K. S. Hariharan: On discounts, this quarter, we have reduced our di scount substantially. In third quarter, the
discount was 2.6% on ASP. Now, in quarter 4, the nu mber had reduced to 1.9%. Regarding Pune
cost, we had already indicated earlier, the element s in terms of overhead cost and depreciation
have an impact on the margins. As we do more ramp-u p of operations, there will be some
increase in these cost elements. But at the same ti me, we are increasing our volumes as well. If
you see Venue, which we are producing from Pune pla nt, already we are seeing strong traction
in the domestic market. We are continuously trying to increase the overall production and sales
volumes. Even export also, there are several opport unities we are exploring for the new Venue.
So, collectively, the increased volumes should help us to absorb all these fixed costs as early as
possible, and that should improve the margins as we ll.
Gunjan Prithyani: I'm just checking from a depreciation perspective. Is that fully reflected in this quarter or there
could be more increase that we were expecting to sh ow up in this quarter?
K. S. Hariharan: The major impact was already reflected in third qu arter. As I mentioned earlier, whenever we
do some ramp-up, there will be some increase in cos t elements. However, the volumes should
take care of all these increased costs.
Gunjan Prithyani: Okay. Got it. My second question is on CAFÉ norms. Can you share a little bit more about the
new EV model that is due for launch this year? You did mention a compact SUV model. But is
this a model that sort of comfortably puts us in th e CAFÉ compliance? Anything that you can
talk us through in terms of what is the EV share wi thin the portfolio that's needed over a 3-year
or a 5-year horizon to be compliant with the CAFÉ n orms? And is this the model that sort of can
be the volume model for us?
Tarun Garg: We have given many disclosures today. Like we said , it is Hyundai’s first mass market dedicated
EV. It has been designed and made keeping India in mind. It is going to come in this fiscal much
before the CAFÉ 3 norms kick-in, and we are expecti ng it to be in a high-volume segment. That
is point number 1.

Point number 2, of course, it wi ll be a big booster for us from CAFÉ
viewpoint, but CAFÉ is not only about one model and EVs.

 We have a very robust and comprehensive plan for CA FÉ. We are very clearly making a
disclosure that we are very confident about meeting the CAFÉ 3. At this point, it will be very
difficult for me to say anything beyond this. But a s we go along during the year, you will see,
we will be talking more and more about these new la unches, we do not want to tell everything
today because we have to build the excitement, keep the excitement running as well.
Gunjan Prithyani: Understood. Just follow up on the profitability, t his 11% to 14% range that as this mass EV
volume model comes through. Does that have any bear ing on the margin in the near term or
anything? I mean this is not going to be as profita ble as the rest of the portfolio. So how do we
think about the ramp-up of this model in context of the overall portfolio margin?
Tarun Garg: When the range of 11% to 14% has been guided, it c onsiders all the new models across all the
segments, whether it is EV or petrol or hybrid or d iesel or SUV or small car. Trust us, we have
done our calculations. But beyond this, to get into model profitability, will be very difficult for
us to give more details. But like I said, it is wel l documented, and we have been very responsible

in our margin guidance. That is why you see it's a broad range of 11% to 14% guidance. We are very confident that, we will achieve this.
Gunjan Prithyani: Got it. Thank you so much.
Moderator: Thank you. The next question is from the line of A myn Pirani from JPMorgan. Please go ahead.
Amyn Pirani: Thanks for the detailed disclosure on the outlook. My first question is on the e-SUV. Just wanted to check. Is this the product which you would be em barking on the cell localization project also in which Hyundai Group as a group has tied up with a local player for cell localization as well. So just wanted to check on that.
Tarun Garg: Like I said, for today, the disclosures have alrea dy been made. Please wait for more announcements on this.
Amyn Pirani: Sure. Fair enough. Secondly, just on your point th at both these products will be coming in the Chennai plant. So, I just wanted to understand, giv en that the Pune plant still has a lot of capacity ramp-up to happen and given that as of now, we only know about the Venue, if both of these are going to Chennai, how does the overall utilization and fixed cost absorption work? Because we thought that these maybe coming in from Pune. So ju st for my understanding, how does the overall level work on fixed cost absorption and uti lization?
Tarun Garg: It works beautifully because, frankly speaking, in 2 shifts, Pune plant cannot do much more than the current level of 130,000, 140,000 units. We are trying to do best, like I said, we started with 8,000 per month. We have already moved to 12,000 pe r month. Pune plant on a 3-shift is about 170,000. So, unless we add a shift to the Pune plan t, how much more you can do.
So, Chennai plant provides us a great opportunity because, one very good reason for our strong profitability in past years had been the 90% - 95% capacity utilization in this plant. Now because the Venue had been shifted to Pune, there is a temp orary drop in the capacity utilization. Now with these two upcoming models, coming from Chennai , will be very good to improve utilisation at Chennai. Anyway, we are doing very good in Pune, especially in a 2-shift operation. Like

 Hari mentioned, we will look at the third shift als o in case

we feel that the volumes are enough to support the 3-shift operations.
Amyn Pirani: Okay. Just the last question on the PBT bridge. If I look at the quarter-on-quarter, Q4 over Q3, you mentioned that volume and mix was a slight posi tive. Now given that actually your mix this quarter was significantly adverse because exports w ere lower as well as I think the SUV mix was lower relatively. So, just want to understand t hat volume was high enough to offset the mix impact. Is volume a bigger driver than mix?
K. S. Hariharan: Yes. That’s the broader understanding. We had bett er volumes, especially in the domestic market. So that has really helped us on a sequentia l basis.
Tarun Garg: At the same time, like I mentioned, two new SUVs i n this financial year will ensure that, we grow very well in the SUV segment. Additionally, th is is an added advantage that all the segments have started growing and really helping th e Chennai capacity utilization, even before the new models are kicking in.
Amyn Pirani: Great. Thank you. Thanks for this. I'll come back i n the queue. Thank you.
Moderator: We'll take our next question is from the line of A rvind Sharma from Citi. Please go ahead.
Arvind Sharma: Hi, good evening, sir. First would be on the expor ts guidance at almost 8% to 10% growth. Previously, capacity would have been a constraint, but now that your capacity has increased significantly, what's the underlying basis for 8% t o 10% growth? Are you pricing in the current adverse geopolitics? Or is 8% to 10% growth an inte nded growth on the exports part because that's the overall growth as well?
K. S. Hariharan: If you look at the overall situation, it is quite dynamic. Our Middle East volumes have been impacted in the last quarter, especially in March. So near term, we are looking at some challenges, especially for Middle East. Nonetheless , we are also looking at some alternate options in terms of alternate shipping routes.
These are some of the things which we are evaluati ng. But as I mentioned earlier also, there are a lot of other options in terms of other markets an d the product strategy as well. Collectively these things should help us in achieving this 8% to 10% growth.
Arvind Sharma: Thank you, sir. On these 70,000 incremental capaci ty expansions in Pune post Phase 2, what is the timeline for this? Will it be FY '30? Consideri ng the current capacity itself is fairly high. So, what is the driving factor behind this significant capacity expansion beyond Phase 2?
Tarun Garg: Phase – 1 of 170,000 units is already done, Phase -2 of 80,000 units will come in 2028, which will bring it to 250,000 units at Pune. Then the ba lance addition of 70,000 will come in between '28 and '30 which will take Pune Capacity to 320,00 0. The driving force behind this is the addition of more models. Presently, it is only one model, then the second model and beyond. No

more disclosures for today.
Arvind Sharma: Thank you so much, sir. That's all from my side.

 Moderator: Ladies and gentlemen, we will take that as the las t question for today. I now hand over the conference to the management team for closing comme nts. Over to you.
Tarun Garg: Thank you.
K. S. Hariharan: Thanks, everyone, for joining the call. We will wi nd up this meeting now. Thank you so much for your participation.
Moderator: Thank you. On behalf of Hyundai Motor India Limite d, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: Edited for brevity and inadvertent errors